

China Aluminum Sector

Excessive pessimism creates opportunities to accumulate

Equities

China
Aluminum

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China: aluminium capacity limit intact; valuation reset creates opportunities

China's 2017 supply-side reforms capped approved nameplate aluminium capacity at 45.43mt. While record margins have driven modest overproduction via potline upgrades, deferred maintenance and parallel production, we expect output to rise to 45.6mt in 2026E and 46.0mt in 2027E (vs. 44.5mt in 2025), slightly above nameplate capacity. However, we do not expect China to abandon the capacity cap and revert to the unconstrained smelter expansion of 2009-17. Reflecting our moderately softer aluminium price outlook and a less tight market, we cut our sector earnings forecasts 10-30% for 2026-27 and our PTs c20%, based on unchanged target PE and dividend yield assumptions. However, we think valuations remain compelling with our new PTs implying 60-80% upside. Upside catalysts include ongoing inspections of overproduction and potential closures of non-compliant capacity, Indonesian policy uncertainty and limits to further nickel power diversion, and delayed Middle East restarts. These could support aluminium prices and earnings.

Ex China: more supply and less tightness, but no material surplus

We forecast a 1.1mt **global** aluminium deficit in 2026 before the market returns to balance in 2027E, supported by >3mt supply growth. In **Indonesia**, we expect output growth of 1.0mt in 2026E and 1.7mt in 2027E. We flag c3.0mt of supply has been affected by **Middle East** tensions and supported the 2026E deficit, but gradual restarts and the release of 0.3-0.4mt of trapped inventory should ease tightness in Europe and the US. However, we do not expect a material surplus over the next two to three years. Indonesian policy uncertainty, recovering traditional demand and a supportive copper-aluminium ratio (>4x) should help aluminium prices rebase above the cost curve even as market tightness eases.

China demand looks weak in 2026E, but supported by exports

China's property/construction activities and solar are weighing heavily on aluminum demand in 2026, offset by robust aluminium net exports of c40% YoY in the first five months. Earlier price hikes amid the Middle East disruption have pressured downstream demand. In 2027E, property and solar should be less of a drag. Structural demand from vehicle lightweighting, resilient machinery sales and electrical transmission growth, supported by some copper to aluminium substitution, suggest total China demand should stay flat in 2026E and increase 2% in 2027E. Recent price moderation may support some demand improvement/restocking.

Excessive pessimism creates attractive valuations; maintain Buy ratings

UBS now forecasts global aluminium prices of US\$1.50/lb in 2026 and US\$1.42/lb in 2027. Factoring in a 9%/5% SHFE/LME discount, we lower our China aluminium price forecasts to Rmb23,000/t/Rmb22,500/t for 2026/27, and cut 2026E/27E earnings for Tianshan, Chalco and Hongqiao 9-15%/24-33%, respectively. We roll forward to 2027E and maintain our target valuations (10x PE for Tianshan and Chalco; 6.5% dividend yield for Hongqiao), and cut our PTs 19-21%.

Figure 1: Summary of our price target changes

Sector	Ticker	Rating	Price Target					26E Net Profit (Rmb mn)			27E Net Profit (Rmb mn)			26E Implied Div.Yield			27E Implied Div.Yield		
			New	New	Old	Chg.	LC	Upside	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old
Aluminium																			
Hongqiao	1378.HK	Buy	36.80	46.10	-20%	20.88	76%	30,405	35,054	-13%	30,192	39,501	-24%	11%	12%	-2%	11%	14%	-3%
Chalco-H	2600.hk	Buy	14.20	17.50	-19%	7.70	84%	21,612	25,326	-15%	21,130	30,591	-31%	8%	9%	-1%	7%	11%	-3%
Chalco-A	601600.SS	Buy	13.50	17.10	-21%	8.33	62%	21,612	25,326	-15%	21,130	30,591	-31%	6%	7%	-1%	6%	9%	-3%
Tianshan	002532.SZ	Buy	18.10	23.00	-21%	11.37	59%	8,279	9,053	-9%	8,358	12,405	-33%	8%	9%	-1%	8%	12%	-4%

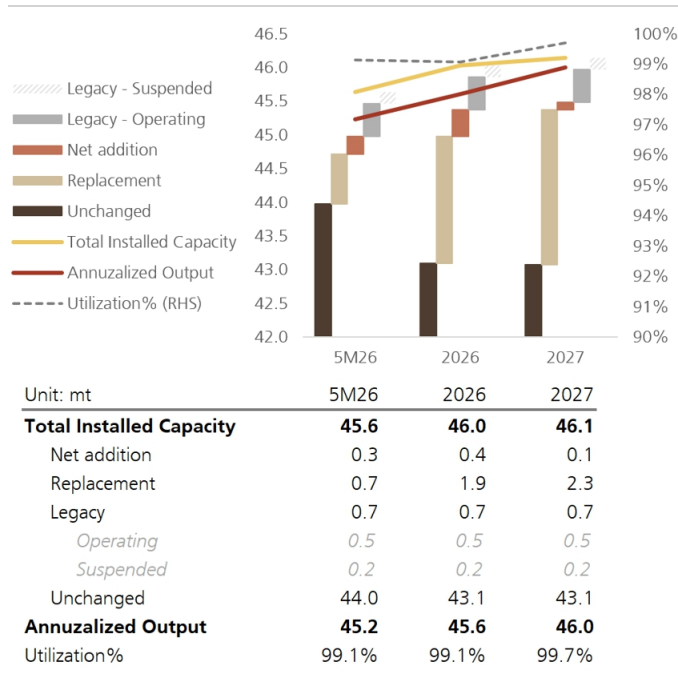
Source: UBS estimate; Note: Priced as of 3 July 2026

Supply

China: run at 45.6mt capacity by May 2026, 46/46.1mt capacity and 45.6/46mt output in 2026/27E

We forecast China's installed aluminium capacity to reach ~46.0mt by end-2026, with output rising 2.5% YoY to 45.6mt. As of May 2026, commissioned capacity stood at 45.6mt. We expect an additional ~0.4mt in 2H26 (Zhalv Phase II +0.21mt; Tianshan +0.12mt, Zhaofeng +0.07mt), taking total capacity to ~46.0mt by year-end.

Figure 2: China aluminium supply in 2026-27E



Source: Aladdiny, Mysteel, UBS estimates

Figure 3: China capacity additions and replacement in 2026-27E (kt)

Region	Company	New 26E	Replacement 26E	Remark
Shanxi	Zhaofeng	69	225	69kt in 3Q26; 225kt in 4Q26; replace 240–300kA pots with 600kA pots
Inner Mongolia	Zhalv Phase II	350		140kt in 1Q26; 210kt in 2Q26
Xinjiang	Tianshan	240		Phase I commissioned by end-25; Phase II to complete by mid-July 26
Yunnan	Yunnan Hongtai		300	Hongqiao relocation from Shandong to Yunnan; 5M26 completed 100kt, potentially 200-300kt depending on market conditions
Yunnan	Yunnan Qiya		210	Qiya relocation from Yunnan to Xinjiang; completion expected in 4Q26
Inner Mongolia	Dongshan		240	Yidian relocation from Henan to Inner Mongolia
Guizhou	Shuangyuan		100	Nanshan 100kt quota to Guizhou Shuangyuan; commissioned in 1Q26
Qinghai	Qiaotou Power		500	Upgrade of 312 units of 600kA potlines
Inner Mongolia	Jinlian		24	Upgrade from 400kA to 500kA
Xinjiang	Xinfa		270	270kt transfer in 2H26; replace 400kA with 600kA pots
Xinjiang	Xiwang		160	Xiwang 500kA upgrade; commissioning in 1H26
Xinjiang	Qiya		400	400kt Phase II capacity retrofit; 100kt in 2Q26 and 300kt in 3Q26
Chongqing	Bofeng		180	Upgrade from 240/300kA to 400kA; commissioning in 4Q26
Liaoning	Xiangyu		300	300kt restart already included in 26 capacity, nearly finish by 5M26
China	Total	659	2,609	
Region	Company	New 27E	Replacement 27E	Remark
Qinghai	Hongsen	110		Originally planned for 26; likely delayed to 27
Qinghai	Baihe		500	Upgrade 600kA potlines
Shanxi	Zhaofeng		100	Zhaofeng Phase II capacity replacement
Shanxi	Senze		500	Under feasibility review; commissioning timing uncertain
Xinjiang	Wanji		580	360 units of 600kA pots; capacity transfer from Xin'an's existing base
Xinjiang	Huazhang		500	Upgrade from 300kA to 600kA; commissioning in 2027
Sichuan	Hongchangsheng		115	Upgrade from 200kA to 400kA; commissioning in 4Q27
China	Total	110	2,295	

Source: Aladdiny, company data, UBS estimates

Figure 4: c2% annualized upside theoretically, but limited by operational constraints

Pot Ka	Capacity mt	Total %	Efficiency %	Unit Output t, annually	Current Efficiency +0.2%		Current Intensity +1~3%			CE +0.2%; CI +1~3%	
					Unit Output	Est. Capacity	Assumption	Unit Output	Est. Capacity	Unit Output	Est. Capacity
200	0.9	2%	92%	541	542	0.9	1%	546	0.9	548	0.9
230	0.2	0%	92%	622	623	0.2	1%	628	0.2	630	0.2
240	3.0	7%	92%	649	650	3.0	1%	656	3.0	657	3.0
245	0.1	0%	92%	663	664	0.1	1%	669	0.1	671	0.1
280	0.4	1%	92%	757	759	0.4	1%	765	0.4	767	0.4
300	2.6	6%	93%	820	822	2.6	1%	828	2.6	830	2.6
320	0.6	1%	93%	875	877	0.6	2%	892	0.6	894	0.6
330	0.9	2%	93%	902	904	0.9	2%	920	0.9	922	0.9
350	1.6	3%	93%	957	959	1.6	2%	976	1.6	978	1.6
360	0.2	0%	93%	984	986	0.2	2%	1,004	0.2	1,006	0.2
400	10.2	22%	94%	1,105	1,108	10.2	2%	1,127	10.4	1,130	10.4
420	2.1	5%	94%	1,161	1,163	2.1	2%	1,184	2.2	1,186	2.2
440	0.6	1%	94%	1,216	1,218	0.6	2%	1,240	0.6	1,243	0.6
460	1.3	3%	94%	1,271	1,274	1.3	2%	1,297	1.4	1,299	1.4
500	14.2	31%	95%	1,396	1,399	14.2	3%	1,438	14.6	1,441	14.7
530	0.5	1%	95%	1,480	1,483	0.5	3%	1,525	0.5	1,528	0.5
600	6.3	14%	95%	1,676	1,679	6.3	3%	1,726	6.5	1,730	6.5
Total	45.6	100%				45.7			46.7		46.8

Source: Aladdiny, UBS estimates. Note: (1) China by-pot capacity distribution based on Aladdiny data as of May 2026; (2) Unit output estimated by UBS, assuming ideal conditions in which a 1kA DC current at 100% current efficiency yields 0.008054t of aluminium per day. 3) Current Intensity assumption by cross-check with Aladdiny, SMM, and aluminium smelters

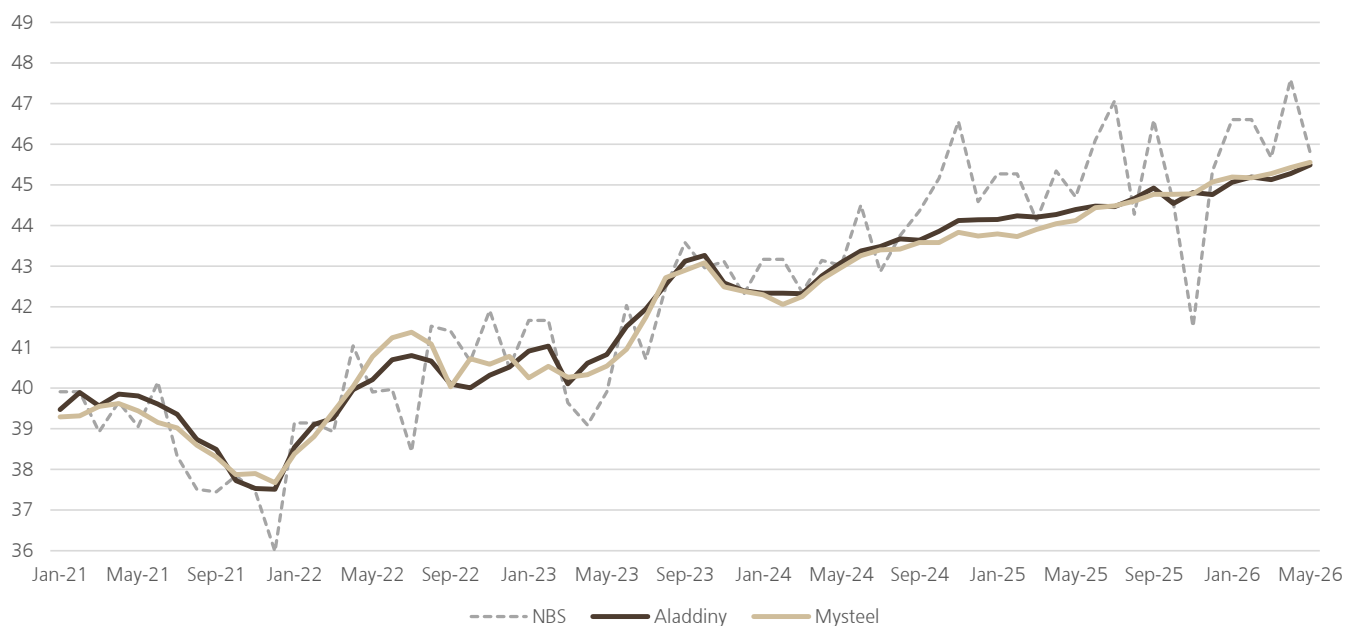
We think market concerns around overproduction appear overstated.

- **Capacity replacement** may temporarily allow parallel production. In 2026, total capacity swaps are ~2.6mt, including ~0.85mt cross-province relocations and ~1.76mt upgrades. While overlapping operations during transitions can in theory lift output above nameplate capacity, the impact is limited at the aggregate monthly level.
- **Non-compliant legacy capacity** (c.~0.6-0.8mt) is already captured in installed capacity. Its potential formalisation therefore does not represent net additions and has no incremental impact on supply. However, permanent shutdown would lead to a net reduction in both nameplate capacity and production.
- **Potline upgrades** can lift effective output via gains in efficiency or amperage. For example, according to Aladdiny, a 1ppt improvement in current efficiency (e.g. from 93% to 94%) lifts annual output by ~1.1% (c.147kt for a 500ka potline), while a 10ka increase (500ka to 510ka) raises output by ~2.0% (c.73.5kt at 94% efficiency). In practice, current efficiency gains are slow and incremental. Aladdiny estimates annual improvement of ~0.5ppt, and only ~30% of capacity may achieve this in the near term. Amperage increases offer more headroom (theoretically up to ~10%), but technical constraints mean even a sustained 5% uplift takes time and is not nationally feasible. If we assume an idealised scenario of 100% utilisation, with nationwide efficiency improving by 0.2ppt and amperage rising 1~3%, effective annualised capacity could reach ~46.8mt. However, producers remain reluctant to maximise short-term output, given concerns over profit sustainability and potline lifespan. Meanwhile, rotating maintenance cycles (requiring overhaul every 4-8 years) leave a structural utilisation buffer of ~2%.

In reality, despite theoretical and anecdotal instances of parallel operations and output gains from pot upgrades, China's nationwide monthly installed-capacity utilisation has not exceeded 100% from 2021 through YTD26. Effective utilisation has remained tightly anchored around 100% (±2%), with a peak of +1.6% in Feb-23. Even at margin peaks of >Rmb8,000/t, operational constraints continue to cap supply, with 5M26 effective utilisation staying within +1%. Notably, while some market participants use annualized April 2026 NBS output (>47mt) as a baseline proxy for 26E production, we continue to track and base our estimates on Aladdiny and Mysteel operating data.

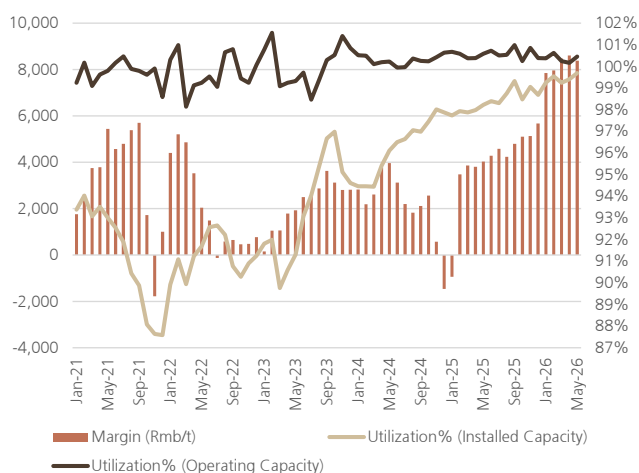
Overall, we do not expect the speculated overproduction to materially lift utilisation or supply, and continue to view the market as well balanced rather than structurally oversupplied.

Figure 5: Cross comparison of annualized aluminium output: NBS vs. Aladdiny vs. Mysteel (Unit: mt)



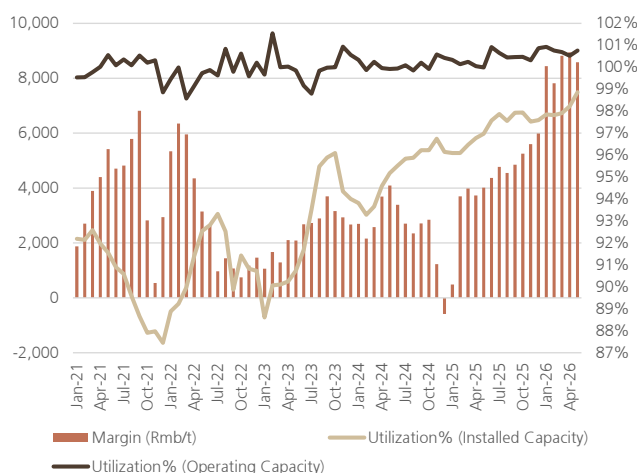
Source: Wind, Aladdiny, Mysteel, UBS. Note: NBS reports Jan-Feb production on a combined basis. Jan-Feb annualized output is derived by annualizing cumulative output over the total Jan-Feb calendar days

Figure 6: China aluminium utilization: Aladdiny



Source: Aladdiny, UBS

Figure 7: China aluminium utilization: Mysteel



Source: Mysteel, UBS

Indonesia: to add 1.5/1.9mt capacity and 1.0/1.7mt output in 2026/27E

We raise our Indonesia aluminium output outlook for 2026-27, driven by both new projects and accelerated ramp-ups. Key additions include Tsingshan's Taiyun Morowali project (600kt, 27E) and Weda Bay expansion (800kt; 400kt in 26E, 400kt in 27E). Several projects are also tracking ahead of schedule: Harita's 100kt has been brought forward from 2028-29 to 2027-28; Bosai's 600kt similarly moves forward; and ramp-up is accelerating across Tsingshan's projects (Juwan, Taijing, Xianfeng; 1.2mt capacity).

Figure 8: Capacity and output estimates for Indonesian aluminium smelter progress

Capacity: Indonesia aluminium smelter progress estimate (unit: kt)								
Group	Project	Venue	2025	2026E	2027E	2028E	2029E+	Remarks
Tsingshan / Huafeng	Huaqing (Morowali)	Sulawesi	500	500	500	500	500	ALD: Planned 1.0mt; second 0.5mt deferred (no land/power)
Tsingshan / Xinfa	Taijing/HF (Morowali)	Sulawesi		600	600	600	600	ALD/ UBS Indo: Started May26; ~0.6mt by end-26
Tsingshan / Xinfa	Taiyun (Morowali)	Sulawesi			600	600	600	ALD: pots full ramp by late-26/early-27; captive power by Q428/ 29 UBS Indo: Limited extra NPI & matte power support in 26-27
Tsingshan / Xinfa	Juwan (Weda Bay)	Maluku	200	270	270	270	270	ALD: Full ramp delayed from Dec-25 to mid-Feb 2026
Tsingshan / Xinfa	Xianfeng (Weda Bay)	Maluku		330	330	330	330	ALD: Starts early Jun-26; full ramp by end-Oct 2026
Tsingshan	Weda Bay Industrial Park	Maluku		400	800	800	800	ALD/ UBS Indo: 0.4mt by Q426/ early27; 0.4mt by end27/ early28 UBS Indo: Weda Bay ample power support from NPI & matte
Nanshan A/H	Bintan Nanshan	Riau Islands		125	500	500	1,000	Nanshan: guided A: 0.125mt (end-26), 0.125mt (27); H: 0.25mt (27–28) with limited volume by end-27, 0.5mt (post-28)
Inalum	Inalum	North Sumatra	275	275	275	275	900	ALD: Remaining 0.6mt post-2029; likely delayed to 2032
Adaro / Lygend	PT KAI	North Kalimantan	500	500	500	500	1,500	ALD: 0.425mt in 26; UBS Indo: 0.5mt capacity finished Dec25 (revised); Adaro: guided 0.3-0.34mt sales in 26, mainly exports to EU/ US
Harita / Weiqiao	PT DIB	North Kalimantan			250	750	1,000	ALD: 0.5mt by 2H27, 0.5mt in 28; captive power build on track UBS Indo: Inalum & Adaro suggests 0.25mt in 27
Bosai	PT Bosai	East Java			300	600	600	ALD: 0.3mt by 4Q27, 0.3mt by 28; grid power first; captive to follow UBS Indo: state-owned grid power unstable with coal supply issues
East Hope	PT WAI	West Kalimantan					2,400	No land/power; 28–29 unlikely start, excluded from the total number
Total			1,475	3,000	4,925	5,725	8,100	
New capacity			830	1,525	1,925	800	2,375	
Production: Indonesia aluminium smelter progress estimate (unit: kt)								
Group	Project	Venue	2025	2026E	2027E	2028E	2029E+	Remarks
Tsingshan / Huafeng	Huaqing (Morowali)	Sulawesi	500	500	500	500	500	ALD: Planned 1.0mt; second 0.5mt deferred (no land/power)
Tsingshan / Xinfa	Taijing/HF (Morowali)	Sulawesi		350	600	600	600	ALD/ UBS Indo: Started May26; ~0.6mt by end-26
Tsingshan / Xinfa	Taiyun (Morowali)	Sulawesi			250	300	600	ALD: pots full ramp by late-26/early-27; captive power by Q428/ 29 UBS Indo: Limited extra NPI & matte power support in 26-27
Tsingshan / Xinfa	Juwan (Weda Bay)	Maluku	100	270	270	270	270	ALD: Full ramp delayed from Dec-25 to mid-Feb 2026
Tsingshan / Xinfa	Xianfeng (Weda Bay)	Maluku		150	300	330	330	ALD: Starts early Jun-26; full ramp by end-Oct 2026
Tsingshan	Weda Bay Industrial Park	Maluku			600	800	800	ALD/ UBS Indo: 0.4mt by Q426/ early27; 0.4mt by end27/ early28 UBS Indo: Weda Bay ample power support from NPI & matte
Nanshan A/H	Bintan Nanshan	Riau Islands		30	250	500	1,000	Nanshan: guided A: 0.125mt (end-26), 0.125mt (27); H: 0.25mt (27–28) with limited volume by end-27, 0.5mt (post-28)
Inalum	Inalum	North Sumatra	275	275	275	275	900	ALD: Remaining 0.6mt post-2029; likely delayed to 2032
Adaro / Lygend	PT KAI	North Kalimantan		320	500	500	1,500	ALD: 0.425mt in 26; UBS Indo: 0.5mt capacity finished Dec25 (revised); Adaro: guided 0.3-0.34mt sales in 26, mainly exports to EU/ US
Harita / Weiqiao	PT DIB	North Kalimantan			100	500	1,000	ALD: 0.5mt by 2H27, 0.5mt in 28; captive power build on track UBS Indo: Inalum & Adaro suggests 0.25mt in 27
Bosai	PT Bosai	East Java				430	600	ALD: 0.3mt by 4Q27, 0.3mt by 28; grid power first; captive to follow UBS Indo: state-owned grid power unstable with coal supply issues
East Hope	PT WAI	West Kalimantan					2,400	No land/power; 28–29 unlikely start, excluded from the total number
Total			875	1,895	3,645	5,005	8,100	
New production			230	1,020	1,750	1,360	3,095	

Source: Aladdiny, UBS estimates

- For 2026, we see high visibility for ~1.0mt of incremental output. Existing projects are progressing smoothly. 1) **Tsingshan/Xinfa** are set to add ~0.5mt, with no near-term power constraints. According to UBS's Indonesia analyst, NPI and nickel matte exports at Morowali dropped to near zero in May and early June, potentially freeing ~1GW of power capacity, equivalent to ~670kt of aluminium capacity, sufficient to support Taijing's 600kt ramp-up. At Weda Bay, curtailment of NPI/ matte production could release ~1.2–2.4GW, providing adequate power support for Xianfeng. 2) **ADMR** guides for 300–340kt external aluminium sales in 2026E. Shipments have begun, with ~60kt expected in June (primarily exported to Europe and the US on LME-linked pricing), followed by 240–280kt over July–December. 3) **Nanshan-A** project (125kt) is expected to complete construction by end-2026, with initial output ramping gradually.
- Looking to 2027, we estimate realised incremental output of ~1.7mt, though execution risks rise. The **Taiyun Morowali project (600kt)** carries the highest uncertainty; we assume only ~40% capacity contribution in 2027E, despite a construction target of 4Q26, as power remains the key bottleneck: 1) Existing nickel power diversion at Morowali may only support partial ramp-up (~10% of Taiyun's capacity). Relative aluminium vs. nickel profitability could further impact power allocation if nickel margins recover. 2) Beyond nickel NPI and matte power, additional capacity headroom at Tsingshan's park (~4–5GW) is unlikely to be

released given potential employment and trade balance implications. 3) Thermal power remains a viable solution: while lead times for Chinese equipment exports are long, industry checks suggest coal-fired unit exports remain practically feasible. Tsingshan has secured approvals and land for new captive coal-fired plants, according to Aladdiny, though commissioning is only expected by end-2028 to 2029.

- By 2028, we estimate **~1.4mt** of incremental output. Execution risks vary by project: Bosai's 600kt, if reliant on grid power, faces reliability constraints and domestic coal supply challenges, while Harita's 800kt appears relatively more certain, with both smelter and captive power construction progressing on track.

Overall, while 2026 ramp-up looks well supported by nickel power flexibility, the mid-term trajectory appears constrained by power availability and project execution risks.

Figure 9: NPI+matte power reallocation may support ~670ktpa for the aluminium smelter in Morowali and ~780k-1.6mtpa in Weda Bay

Morowali power reallocation simulation	Units	As of May	
Monthly NPI volume reduction - current	kt Ni	20	
Annualized NPI volume reduction	kt Ni	241	
Ni production power intensity	MWh/t Ni	38	
Total power use	GWh	9,056	
Potential power capacity freed up	MW	1,034	
Al production power intensity	MWh/tAl	14	
Implied potential new aluminium capacity	ktpa Al	671	

Weda Bay power reallocation simulation	Units	Assume 50% shutdown	Assume 100% shutdown
Monthly NPI volume reduction - potential	kt Ni	23	47
Annualized NPI volume reduction	kt Ni	282	564
Ni production power intensity	MWh/t Ni	38	38
Total power use	GWh	10,572	21,144
Potential power capacity freed up	MW	1,207	2,414
Al production power intensity	MWh/tAl	14	14
Implied potential new aluminium capacity	ktpa Al	783	1,566

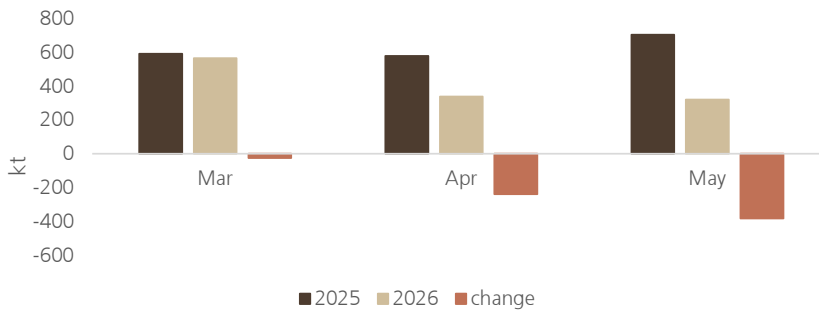
Source: Company data, UBS estimates. Note: NPI volume reduction is calculated based on average monthly volume in Jan-May 2026. This is estimated and published by UBS Indonesia in [note](#) Figure 5

Middle East: 2.8mt output disruption in 2026; 1.1mt recovery in 2027E

Middle East aluminium capacity totals 6.93mt (c.10% of global). The UBS EMEA mining team estimates that 2.7-3.3mt of capacity could be affected, resulting in a net production impact of **-2.8mt in 2026E and +1.1mt in 2027E**.

Of the impacted capacity, 2.2-2.6mt relates to **uncontrolled shutdowns**, where assets have suffered physical damage and may require >12 months to restart. This includes 1.4-1.6mt at Al Taweelah (UAE) and 0.8-1.0mt at Alba (Bahrain), where c.19% of capacity has been intentionally curtailed while additional facilities are believed to have sustained damage. A further 0.25-0.40mt relates to **controlled shutdowns**, primarily constrained by raw material shortages rather than asset damage, implying a shorter restart timeline of 3-6 months. This includes 0.20-0.25mt at Qatalum (Qatar) and 0.05-0.15mt at Jebel Ali (UAE). The impact on 0.25-0.30mt of Iranian capacity remains uncertain, given limited visibility on both operational disruptions and potential asset damage. More details in our [note](#).

Figure 10: Middle East aluminium output -35% YoY (~0.65mt) in Mar-May 2026



Source: Aladdiny, UBS. Note: Middle East output includes Bahrain, UAE, Qatar, Saudi Arabia, Oman, and Iran

Figure 11: Middle East aluminium smelter restart outlook

Production (kt)	Major Smelters	2023	2024	2025	2026E	2027E	2028E
UAE	Al Taweelah; Jebel Ali	2,667	2,685	2,600	1,135	1,620	2,518
YoY change		17	18	-85	-1,465	485	898
Bahrain	Alba	1,621	1,622	1,600	650	986	1,481
YoY change		19	1	-22	-950	336	495
Iran	Various	623	609	600	510	620	620
YoY change		14	-14	-8	-90	110	0
Oman	Sohar	398	399	399	399	399	399
YoY change		3	1	0	0	0	0
Qatar	Qatalum	645	650	645	387	516	645
YoY change		7	4	-5	-258	129	129
Saudi Arabia	Ma'aden	745	803	805	805	805	900
YoY change		-60	58	2	0	0	95
Middle East Total		6,698	6,767	6,649	3,886	4,946	6,562
YoY change		0	69	-118	-2,763	1,060	1,616

Source: Woodmac, UBS estimates

Figure 12: Global aluminium supply-demand model

UBS		ALUMINIUM MODEL Global Commodities & Mining										
Bauxite & Alumina		2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Global Bauxite Supply	Mt	370	378	380	396	382	396	406	417	419	419	420
growth in supply	%	3.4%	2.0%	0.7%	4.1%	-3.5%	3.7%	2.5%	2.6%	1%	0%	0%
Global Bauxite Demand	Mt	370	378	380	396	382	396	394	407	418	419	419
Global Bauxite Balance	Mt							12.3	9.5	1.1	-1	1
Global Alumina Supply (Met grade)	Mt	124.9	130.1	132.1	134.4	137.3	145.5	144.4	149.2	153.3	153.7	153.7
growth in supply	%	1.8%	4.2%	1.6%	1.7%	2.2%	6.0%	-0.8%	3.4%	2.7%	0%	0%
Global Alumina Demand	Mt	125.4	130.0	132.2	135.9	139.6	142.5	141.6	147.8	152.3	155.8	157.6
Alumina Market Balance	Mt	-0.6	0.1	-0.1	-1.5	-2.4	2.9	2.7	1.4	1.0	-2.1	-3.8
Aluminium												
Primary Smelter Supply												
China	Mt	37.0	38.5	40.1	41.8	43.3	44.6	45.5	45.9	46.0	46.0	46.0
Europe (ex Russia)	Mt	4.2	4.3	3.4	3.2	3.2	3.4	3.7	3.9	3.9	3.9	3.9
Russia	Mt	4.3	4.3	4.4	4.4	4.5	4.3	4.4	4.5	4.5	4.5	4.5
North America	Mt	4.1	4.1	3.9	4.1	4.0	4.0	4.0	4.1	4.1	4.1	4.1
Middle East	Mt	6.3	6.4	6.7	6.7	6.8	6.6	3.9	4.7	5.9	6.9	6.9
Other	Mt	9.1	9.8	10.2	10.6	10.8	11.3	12.3	13.9	15.0	15.8	16.7
Global Aluminium Supply	Mt	65.1	67.5	68.7	70.7	72.5	74.1	73.8	77.0	79.3	81.1	82.1
Growth	%	2.5%	3.7%	1.8%	2.9%	2.6%	2.3%	-0.5%	4.4%	3.0%	2.3%	1.2%
Total Demand												
China	Mt	43.7	46.2	45.6	48.0	49.0	50.9	51.2	52.1	53.2	54.4	55.4
Europe	Mt	15.5	17.1	17.0	15.8	15.8	16.0	16.3	16.8	17.4	17.7	18.1
N America	Mt	9.4	10.3	10.7	10.7	10.8	10.9	11.1	11.6	12.0	12.6	13.1
Other	Mt	15.4	16.8	17.6	17.8	18.5	19.8	20.4	21.6	22.8	24.0	25.0
Total Demand	Mt	83.9	90.4	90.9	92.4	94.0	97.6	99.0	102.2	105.5	108.6	111.6
Growth	%	-3.5%	7.7%	0.5%	1.7%	1.7%	3.9%	1.4%	3.2%	3.2%	3.0%	2.7%
Secondary Demand												
Total Demand	Mt	20.0	21.6	21.5	22.6	22.6	23.4	24.1	25.2	26.2	27.3	28.3
Growth	%	-5.9%	7.9%	-0.4%	5.0%	-0.1%	3.8%	3.0%	4.5%	4.1%	4.1%	3.8%
Primary demand												
China	Mt	37.5	39.4	39.8	40.8	42.1	43.8	43.9	44.7	45.6	46.5	47.2
Europe	Mt	9.9	11.1	11.0	10.3	10.2	10.4	10.5	10.8	11.1	11.3	11.6
N America	Mt	5.8	6.6	6.9	6.8	6.9	6.9	7.0	7.3	7.5	7.8	8.2
Other	Mt	10.7	11.6	11.7	11.8	12.3	13.1	13.5	14.2	15.0	15.7	16.3
Primary Demand	Mt	63.9	68.8	69.4	69.8	71.5	74.2	74.9	77.0	79.2	81.4	83.3
Growth	%	-2.8%	7.7%	0.8%	0.6%	2.4%	3.9%	0.9%	2.7%	2.9%	2.7%	2.4%
Aluminium Market Balance	Mt	1.16	-1.32	-0.66	0.87	1.05	-0.09	-1.15	0.00	0.06	-0.22	-1.21
Visible Inventory	Mt	3.8	2.6	1.3	1.6	1.5	1.3	0.2	0.2	0.2	0.0	-1.2
Days Consumption	days	16.5	10.6	5.2	6.2	6.0	4.9	0.6	0.6	0.7	0.0	-4.0
LME Aluminium Price	US\$/lb	77	112	122	102	110	119	150	150	145	129	130
LME Aluminium Price	US\$/t	1,704	2,476	2,697	2,255	2,421	2,631	3,316	3,305	3,204	2,844	2,866
Alumina price average	US\$/t	270	329	362	344	500	389	318	365	400	400	415

Source: Woodmac, UBS estimates; Note: This is published by UBS Global mining in the [note](#).

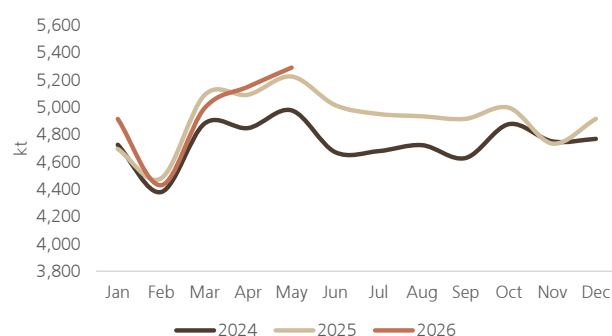
Demand

China total demand flat/+2% with direct net exports +18%/+6% in 2026/27E

We expect China aluminium demand to soften modestly in 2026E, reflecting contractions in solar, home appliances and a moderation in auto demand growth. Offsetting this, tight overseas markets and a wider LME-China arbitrage window should continue to support aluminium exports.

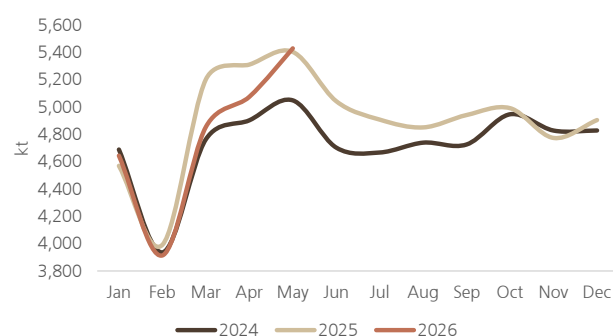
- **Property (-9% 26E):** We forecast property-related aluminium demand to decline 9% YoY, driven by persistently weak construction activity. The UBS Property team expects new housing starts to fall 9% in 2026E before stabilising in 2027E. While infrastructure and special-bond-funded resettlement housing provides some support, commercial residential construction remains under pressure. Higher cost sensitivity among developers is also likely to weigh on aluminium intensity.
- **Transport (+2% 26E):** We expect transport demand to grow 2% YoY, supported by resilient vehicle exports. Domestic demand is likely to moderate as subsidies for lower-end models are phased out and VAT incentives are reduced. Continued EV penetration should largely offset weakness in the ICE segment.
- **Electrical (-2% 26E):** We forecast electrical demand to decline 2% YoY. Grid investment and energy storage systems (ESS) should remain key growth drivers; however, we expect it to be more than offset by a sharp correction in solar demand following the strong installation cycle during 2023–25. New solar installations totalled only 60GW in 5M26, down 70% YoY, with UBS's Utilities team expecting a recovery from Q326E.
- **Packaging (+1% 26E):** We expect packaging demand to increase 1% YoY, supported by stable consumption trends, albeit with some moderation in retail sales growth.
- **Appliances (-3% 26E):** We forecast appliance demand to decline 3% YoY as government subsidy support fades. UBS's Consumers team notes the entry of a post-subsidy downcycle, which they expect to persist through 2025–27E.
- **Machinery (+6% 26E):** We forecast machinery demand to grow 6% YoY. Construction machinery entered a replacement upcycle from 2H25, supported by export demand, with momentum likely to extend through 2027E. Machine tools should deliver modest growth in 2026–27E before slowing beyond 2028E.

Figure 13: Total Supply: +0.8% in 5M26



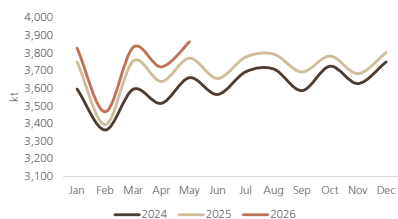
Source: Aladdiny, Mysteel, SMM, UBS. Note: Total supply = domestic primary and secondary aluminium production + net imports of primary and secondary aluminium

Figure 14: Total Demand: -2.3% in 5M26



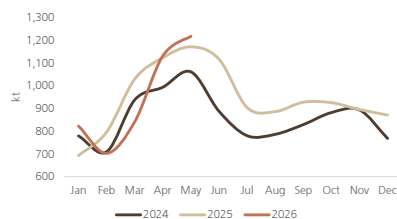
Source: Aladdiny, Mysteel, SMM, UBS. Note: Total apparent demand = total supply – visible inventory change

Figure 15: Supply: Domestic primary aluminium +2.2% in 5M26



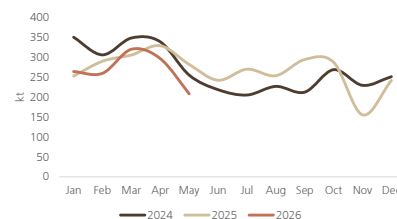
Source: Aladdiny, UBS

Figure 16: Supply: Domestic secondary aluminium -2.0% in 5M26



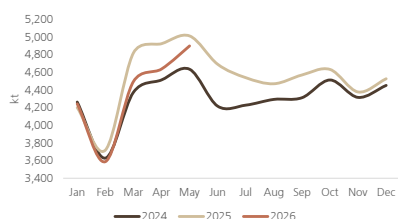
Source: Aladdiny, UBS estimates. Note: Secondary aluminium output excludes primary aluminium feedstock to avoid double counting

Figure 17: Supply: Net Imports (primary & secondary) -7.6% in 5M26



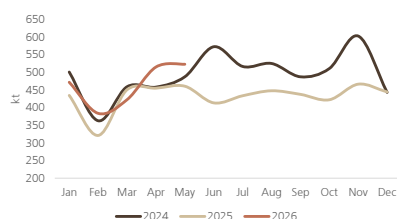
Source: China Customs, Mysteel, UBS estimates. Note: 1) Primary net imports include unwrought aluminium only; 2) Secondary net imports are derived from scrap net imports, assuming an 80% conversion rate and 15% allocation to semi-fabricated feedstock production. Scrap flows to domestic secondary producers are excluded to avoid double counting

Figure 18: Demand: Domestic & Indirect net exports -3.6% in 5M26



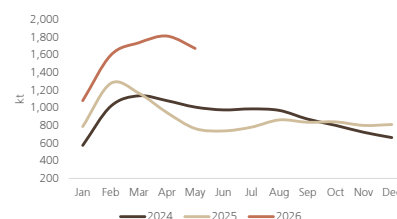
Source: Aladdiny, Mysteel, SMM, UBS estimates. Note: (1) Apparent demand = Total supply – direct aluminium net exports × 85% – visible inventory change; (2) An 85% average aluminium content is assumed for HS 7601–7609 exports

Figure 19: Demand: Direct aluminium product net exports +9.1% in 5M26



Source: China Customs, Mysteel. Note: Direct aluminium exports include HS 7601–7609 products; all other exports are classified as indirect exports

Figure 20: Inventory: Ingots and rod average visible inventory +60% in 5M26

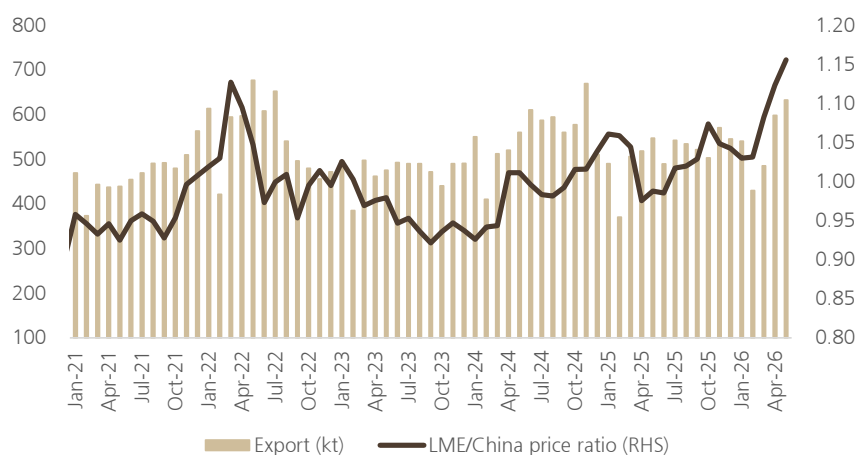


Source: SMM, Mysteel, UBS

Exports. The widening LME-China spread has supported a steady increase in Chinese aluminium exports in 5M26, with unwrought aluminium and product exports reaching 1.23mt in Apr-May (+16% YoY), providing some relief to domestic pressure. However, we expect export growth to remain gradual rather than high, despite the attractive headline arbitrage. Industry participants highlighted that realized export margins are substantially below theoretical spreads. 1) **Export tariffs** remain a major constraint, with primary aluminium subject to a 30% duty and aluminium products facing tariffs of 10-30%, absorbing a significant portion of the arbitrage gain. 2) **Strong trader bargaining power** and growing demand from overseas buyers for a share of the widening spread are diluting arbitrage gains and limiting producers' realized margins. 3) **Logistics costs** and execution risks have also tempered producers' willingness to aggressively pursue exports. 4) For key arbitrage products such as aluminium wire rod, rising export volumes have driven premium compression, with overseas wire rod premiums lagging primary aluminium premiums amid **intensifying competition** among exporters.

Overall, while a wider LME-China spread should continue to support export growth, we expect the response to remain incremental rather than exponential, constrained by tariffs, profit-sharing across the value chain, logistics costs and intensifying competitive pressures.

Figure 21: Exports increased in Apr-May with widening LME-China spread



Source: China Customs, Wind, Mysteel, UBS estimates. Note: The LME/China price ratio is calculated as: LME cash price ÷ (China spot price ÷ 1.13 VAT ÷ USD/CNY Fx); logistics excluded

Figure 22: China aluminium DS model

Unit: Al, mt	2024	2025	2026E	2027E	2028E
China supply					
Capacity	45.1	45.4	46.0	46.1	46.1
Primary Production	43.4	44.5	45.6	46.0	46.1
Utilization rate	96%	98%	99%	100%	100%
YoY	4.0%	2.6%	2.5%	0.9%	0.2%
Secondary Production	10.3	11.3	10.8	11.2	11.9
Net import (Primary+Secondary)	3.2	3.2	2.8	2.9	3.4
Total supply	56.9	59.1	59.2	60.1	61.4
YoY		3.8%	0.3%	1.5%	2.1%
China demand					
1. Construction	12.0	11.2	10.1	9.5	9.2
% in total demand	21%	19%	17%	16%	15%
YoY	-13%	-7%	-9%	-6%	-3%
2. Transport	12.0	13.5	13.8	14.5	15.3
% in total demand	21%	23%	23%	24%	25%
YoY	5%	13%	2%	5%	5%
3. Electrical	9.7	10.8	10.6	11.6	12.1
% in total demand	17%	18%	18%	19%	20%
YoY	11%	12%	-2%	8%	4%
4. Packaging	4.9	5.1	5.2	5.2	5.2
% in total demand	9%	9%	9%	9%	9%
YoY	3%	4%	1%	1%	1%
5. Appliances	5.3	5.5	5.3	5.3	5.3
% in total demand	9%	9%	9%	9%	9%
YoY	9%	3%	-3%	0%	1%
6. Machinery & Equipment	4.3	4.6	4.9	5.0	5.1
% in total demand	8%	8%	8%	8%	8%
YoY	6%	7%	6%	3%	2%
7. Direct alu. products net exports	5.0	4.4	5.2	5.5	5.7
% in total demand	9%	7%	9%	9%	9%
YoY	21%	-12%	18%	6%	3%
8. Others	3.6	3.8	3.8	3.8	3.8
% in total demand	6%	6%	6%	6%	6%
YoY	3%	7%	0%	0%	0%
Renewables	8.8	9.9	8.9	10.1	10.8
Total demand	56.8	58.9	59.0	60.4	61.7
YoY		3.7%	0.1%	2.4%	2.1%
Secondary	10.5	11.6	11.0	11.4	12.1
Primary	46.3	47.3	47.9	48.9	49.6
YoY		2.3%	1.3%	2.1%	1.3%
Inventory Change	0.1	0.1	0.3	-0.3	-0.3

Source: Aladdiny, Mysteel, SMM, Wind, China Customs, UBS estimates. Note: Restated from 2024

Valuation

China aluminium price steady at Rmb23,000/t in 2026E, easing to Rmb22,500/t in 2027E

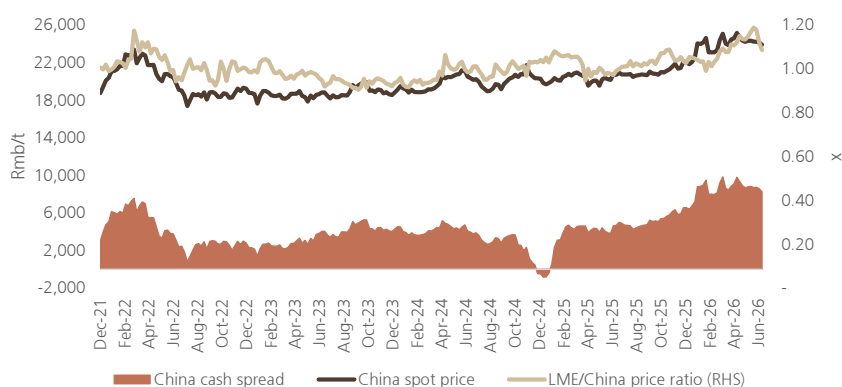
UBS Global mining team maintains its 2026 aluminium price forecast at **US\$1.50/lb** and lowers 2027E to **US\$1.42/lb**. Assuming a 9%/5% SHFE-LME discount in 2026E/27E, we trim our China aluminium price forecasts to **Rmb23,000/t in 2026E** (from Rmb23,500/t) and **Rmb22,500/t in 2027E** (from Rmb25,000/t). Despite the lower price outlook, industry profitability should remain healthy, with China aluminium cash spreads averaging above Rmb6,000/t in 2026E and above Rmb5,000/t in 2027E.

The price changes reflect the following factors: Resumption of supply from the Middle East (ME) will take time and we continue to forecast a global deficit in 2026. Recent supply developments in Indonesia combined with notably weak demand (due in part to -ve impact of substitution) result in a less supportive S&D outlook over the next 2-3 years. We expect tightness to ease over the next 6-12 months: (1) as ~3mt of ME supply returns to the market; and (2) given increased supply expectations from Indonesia, resulting in supply growth of ~5%/3% in 2026/27E vs demand growth of 2.5-3.0%.

However: (1) we forecast a return to a balanced market in 2027/28 not a material surplus; (2) traditional demand drivers should improve with prices moderating; (3) Indonesian policy remains highly unpredictable; (4) we expect price support from the copper (aluminium ratio above 4x); and (5) stale extended speculative positioning is normalised. In our view the fundamental outlook has deteriorated, but prices are likely to rebase above the cost curve.

More detail can be found in our latest UBS Q226 price review [note](#).

Figure 23: China aluminium spot price and cash spreads



Source: Wind, Aladdiny, SMM, Sxcoal, UBS estimates

China aluminium stocks look undervalued; good time to accumulate

Despite our slightly lower aluminium price forecasts, we flag a strong value proposition for China's aluminium companies. We think Hongqiao offers attractive shareholder returns via its 60–65% payout ratio and ongoing buybacks; Chalco is delivering an accelerating margin; and Tianshan combines volume growth with sustained high profitability.

Hongqiao. We estimate H126 net profit of Rmb16.1bn. Reflecting our slightly lower aluminium price outlook, we cut our 2026/27/28E net profit 13%/24%/27% to Rmb30.4bn/Rmb30.2bn/Rmb28.5bn. Hongqiao trades at an 11.5% 12-month forward dividend yield and 5.7x forward PE. Based on a 6.5% target dividend yield (unchanged), we lower our PT to HK\$36.80 (-20%) and reiterate our Buy rating.

Chalco. We estimate H126 net profit of Rmb11.6bn. Reflecting our aluminium price outlook, we cut 2026/27/28E net profit 15%/31%/33% to Rmb21.6bn/Rmb21.1bn/Rmb21.3bn. Chalco-A/H trade at 5.9%/7.4% 12-month forward dividend yields and 6.8x/5.4x forward PE. Based on our unchanged target PE of 11.0x for the A-share and

10.0x for the H-share, we derive our new PTs of Rmb13.50 (-21%) and HK\$14.20 (-19%), respectively. We reiterate our Buy ratings on both the A- and H-share.

Tianshan. We estimate H126 net profit of Rmb3.7bn. Reflecting our aluminium price outlook, we cut our 2026/27/28E net profit 9%/33%/35% to Rmb8.3bn/Rmb8.4bn/Rmb8.6bn. Tianshan trades at an 8.3% 12-month forward dividend yield and 6.3x forward PE. Applying an unchanged target PE of 10.0x, we derive our new PT of Rmb18.10 (-21%) and reiterate our Buy rating.

Figure 24: Summary of our estimate changes

Hongqiao	New (June26)			Old (Mar26)			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Net Income (Rmb m)	30,405	30,192	28,525	35,054	39,501	39,155	-13%	-24%	-27%
EPS (Rmb)	3.2	3.2	3.0	3.7	4.2	4.1	-13%	-24%	-27%
DPS (Rmb)	2.0	2.1	2.0	2.2	2.5	2.5	-13%	-18%	-22%
BVPS (Rmb)	15.7	17.0	17.9	16.4	18.3	19.9	-4%	-7%	-10%
Implied P/E	5.7	5.7	6.0	4.9	4.3	4.4	-	-	-
Implied Divid. Yield	10.7%	11.5%	10.8%	12.4%	14.0%	13.9%	-2%	-3%	-3%
Implied P/B	1.2	1.1	1.0	1.1	1.0	0.9	-	-	-
ROE (%)	22%	19%	17%	24%	24%	22%	-3%	-5%	-5%

Chalco	New (June26)			Old (Mar26)			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Net Income (Rmb m)	21,612	21,130	21,289	25,326	30,591	31,954	-15%	-31%	-33%
EPS (Rmb)	1.3	1.2	1.2	1.5	1.8	1.9	-15%	-31%	-33%
DPS (Rmb)	0.5	0.5	0.5	0.6	0.7	0.7	-15%	-31%	-33%
BVPS (Rmb)	5.4	6.1	6.8	5.6	6.8	7.9	-4%	-10%	-14%
Implied P/E - H	5.3	5.4	5.4	4.5	3.7	3.6	-	-	-
Implied P/E - A	6.6	6.8	6.7	5.6	4.7	4.5	-	-	-
Implied Divid. Yield - H	7.5%	7.4%	7.5%	8.8%	10.7%	11.2%	-1%	-3%	-4%
Implied Divid. Yield - A	6.0%	5.9%	6.0%	7.1%	8.6%	8.9%	-1%	-3%	-3%
Implied P/B - H	1.3	1.1	1.0	1.2	1.0	0.8	-	-	-
Implied P/B - A	1.6	1.4	1.2	1.5	1.2	1.1	-	-	-
ROE (%)	24%	20%	18%	30%	29%	25%	-6%	-9%	-7%

Tianshan	New (June26)			Old (Mar26)			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Net Income (Rmb m)	8,279	8,358	8,623	9,053	12,405	13,304	-9%	-33%	-35%
EPS (Rmb)	1.8	1.8	1.9	2.0	2.7	2.9	-9%	-33%	-35%
DPS (Rmb)	0.9	0.9	1.0	1.0	1.4	1.5	-9%	-33%	-35%
BVPS (Rmb)	7.6	8.5	9.4	7.8	9.5	10.9	-2%	-10%	-14%
Implied P/E	6.4	6.3	6.1	5.8	4.2	4.0	-	-	-
Implied Divid. Yield	8.2%	8.3%	8.6%	9.0%	12.4%	13.2%	-1%	-4%	-5%
Implied P/B	1.5	1.3	1.2	1.5	1.2	1.0	-	-	-
ROE (%)	26%	22%	21%	28%	31%	28%	-2%	-9%	-7%

Source: UBS estimates; Note: Priced as of 3 July 2026

Figure 25: Cross comparison of Chalco, Hongqiao, Tianshan

	2021	2022	2023	2024	2025	2026E	2027E
Aluminium Sales Volume (mt)							
Chalco	6.3	6.9	6.8	7.6	8.1	8.1	8.1
YoY	71%	9%	-1%	12%	6%	0%	0%
Hongqiao	5.1	5.5	5.7	5.8	5.8	5.9	5.9
YoY	0%	8%	5%	2%	0%	0%	0%
Tianshan	1.1	1.2	1.1	1.1	1.0	1.3	1.4
YoY	-5%	9%	-3%	-4%	-3%	27%	4%
Aluminium Gp/t (Rmb/t)							
Chalco	3,354	2,584	2,410	1,850	3,406	5,633	4,947
YoY	76%	-23%	-7%	-23%	84%	65%	-12%
Hongqiao	4,654	2,370	2,863	4,317	5,183	7,343	6,768
YoY	55%	-49%	21%	51%	20%	42%	-8%
Tianshan	5,665	4,000	3,438	3,912	5,549	7,784	7,183
YoY	69%	-29%	-14%	14%	42%	40%	-8%
Industry Avg.	3,228	2,029	2,192	2,190	4,004	6,200	5,400
YoY	157%	-37%	8%	0%	83%	55%	-13%
Net Profit (Rmb mn)							
Chalco	5,759	4,192	6,717	12,400	12,674	21,612	21,130
YoY	677%	-27%	60%	85%	2%	71%	-2%
Hongqiao	16,073	8,702	11,461	22,372	22,636	30,405	30,192
YoY	53%	-46%	32%	95%	1%	34%	-1%
Tianshan	3,833	2,650	2,205	4,455	4,818	8,279	8,358
YoY	100%	-31%	-17%	102%	8%	72%	1%
FCFF (Rmb mn)							
Chalco	19,899	7,725	9,254	17,019	11,399	34,166	32,665
YoY	102%	-61%	20%	84%	-33%	200%	-4%
Hongqiao	22,650	(1,227)	16,356	21,374	28,339	27,805	28,419
YoY	81%	-	-	31%	33%	-2%	2%
Tianshan	(1,179)	1,763	(1,341)	4,578	3,961	8,093	8,541
YoY	-	-	-	-	-13%	104%	6%

Source: Aladdiny, company data, UBS estimates

Figure 26: Earnings sensitivity 2026E: net profit (Rmb m)

		bearish					baseline									
Hongqiao	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	15,567	17,290	19,013	20,736	22,459	24,182	25,905	27,628	29,351	31,074	32,797	34,520	36,243	37,966	39,689
	2,700	16,094	17,817	19,540	21,263	22,986	24,709	26,432	28,155	29,878	31,601	33,324	35,047	36,770	38,493	40,216
	2,800	16,621	18,344	20,067	21,790	23,513	25,236	26,959	28,682	30,405	32,128	33,851	35,574	37,297	39,020	40,743
	2,900	17,148	18,871	20,594	22,317	24,040	25,763	27,486	29,209	30,932	32,655	34,378	36,101	37,824	39,547	41,270
	3,000	17,675	19,398	21,121	22,844	24,567	26,290	28,013	29,736	31,459	33,182	34,905	36,628	38,351	40,074	41,797
	3,100	18,201	19,924	21,647	23,370	25,093	26,816	28,539	30,262	31,985	33,708	35,431	37,154	38,877	40,600	42,323
Chalco	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	9,889	11,417	12,946	14,475	16,003	17,532	19,060	20,589	22,117	23,646	25,174	26,703	28,232	30,001	31,530
	2,700	9,636	11,165	12,693	14,222	15,750	17,279	18,807	20,336	21,865	23,393	24,922	26,450	27,979	29,748	31,277
	2,800	9,383	10,912	12,440	13,969	15,498	17,026	18,555	20,083	21,612	23,140	24,669	26,197	27,726	29,496	31,024
	2,900	9,131	10,659	12,188	13,716	15,245	16,773	18,302	19,830	21,359	22,888	24,416	25,945	27,473	29,243	30,772
	3,000	8,878	10,406	11,935	13,464	14,992	16,521	18,049	19,578	21,106	22,635	24,163	25,692	27,220	28,990	30,519
	3,100	8,625	10,154	11,682	13,211	14,739	16,268	17,796	19,325	20,854	22,382	23,911	25,439	26,968	28,737	30,266
Tianshan	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	4,698	5,153	5,609	6,065	6,521	6,977	7,433	7,889	8,345	8,801	9,257	9,713	10,169	10,624	11,080
	2,700	4,665	5,120	5,576	6,032	6,488	6,944	7,400	7,856	8,312	8,768	9,224	9,680	10,136	10,591	11,047
	2,800	4,632	5,088	5,543	5,999	6,455	6,911	7,367	7,823	8,279	8,735	9,191	9,647	10,103	10,559	11,014
	2,900	4,599	5,055	5,510	5,966	6,422	6,878	7,334	7,790	8,246	8,702	9,158	9,614	10,070	10,526	10,981
	3,000	4,566	5,022	5,478	5,933	6,389	6,845	7,301	7,757	8,213	8,669	9,125	9,581	10,037	10,493	10,949
	3,100	4,533	4,989	5,445	5,900	6,356	6,812	7,268	7,724	8,180	8,636	9,092	9,548	10,004	10,460	10,916

Source: UBS estimates

Figure 27: Earnings sensitivity 2026E: implied PE (x)

		bearish					baseline									
Hongqiao	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	11.1	10.0	9.1	8.3	7.7	7.1	6.7	6.2	5.9	5.5	5.3	5.0	4.8	4.5	4.3
	2,700	10.7	9.7	8.8	8.1	7.5	7.0	6.5	6.1	5.8	5.5	5.2	4.9	4.7	4.5	4.3
	20.88	2,800	10.4	9.4	8.6	7.9	7.3	6.8	6.4	6.0	5.7	5.4	5.1	4.8	4.6	4.4
		2,900	10.0	9.1	8.4	7.7	7.2	6.7	6.3	5.9	5.6	5.3	5.0	4.8	4.6	4.4
		3,000	9.7	8.9	8.2	7.5	7.0	6.6	6.2	5.8	5.5	5.2	4.9	4.7	4.5	4.3
		3,100	9.5	8.6	8.0	7.4	6.9	6.4	6.0	5.7	5.4	5.1	4.9	4.6	4.4	4.1
Chalco-H	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	11.6	10.1	8.9	7.9	7.2	6.6	6.0	5.6	5.2	4.9	4.6	4.3	4.1	3.9	3.7
	Px	2,700	11.9	10.3	9.1	8.1	7.3	6.7	6.1	5.7	5.3	4.9	4.6	4.3	4.1	3.9
	7.70	2,800	12.3	10.5	9.2	8.2	7.4	6.8	6.2	5.7	5.3	5.0	4.7	4.4	4.1	3.9
		2,900	12.6	10.8	9.4	8.4	7.5	6.9	6.3	5.8	5.4	5.0	4.7	4.4	4.2	4.0
		3,000	13.0	11.1	9.6	8.5	7.7	7.0	6.4	5.9	5.5	5.1	4.8	4.5	4.2	4.0
		3,100	13.3	11.3	9.8	8.7	7.8	7.1	6.5	6.0	5.5	5.1	4.8	4.5	4.3	4.0
Chalco-A	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	14.5	12.5	11.0	9.9	8.9	8.2	7.5	6.9	6.5	6.0	5.7	5.4	5.1	4.8	4.6
	Px	2,700	14.8	12.8	11.3	10.0	9.1	8.3	7.6	7.0	6.5	6.1	5.7	5.4	5.1	4.8
	8.33	2,800	15.2	13.1	11.5	10.2	9.2	8.4	7.7	7.1	6.6	6.2	5.8	5.5	5.2	4.9
		2,900	15.7	13.4	11.7	10.4	9.4	8.5	7.8	7.2	6.7	6.2	5.9	5.5	5.2	4.9
		3,000	16.1	13.7	12.0	10.6	9.5	8.7	7.9	7.3	6.8	6.3	5.9	5.6	5.2	5.0
		3,100	16.6	14.1	12.2	10.8	9.7	8.8	8.0	7.4	6.9	6.4	6.0	5.6	5.3	5.0
Tianshan	Aluminium	19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	11.2	10.2	9.4	8.7	8.1	7.5	7.1	6.7	6.3	6.0	5.7	5.4	5.2	5.0	4.7
	Px	2,700	11.3	10.3	9.4	8.7	8.1	7.6	7.1	6.7	6.3	6.0	5.7	5.4	5.2	5.0
	11.37	2,800	11.4	10.3	9.5	8.8	8.2	7.6	7.1	6.7	6.4	6.0	5.7	5.5	5.2	5.0
		2,900	11.4	10.4	9.6	8.8	8.2	7.7	7.2	6.8	6.4	6.0	5.7	5.5	5.2	5.0
		3,000	11.5	10.5	9.6	8.9	8.2	7.7	7.2	6.8	6.4	6.1	5.8	5.5	5.2	5.0
		3,100	11.6	10.5	9.7	8.9	8.3	7.7	7.2	6.8	6.4	6.1	5.8	5.5	5.3	5.0

Source: UBS estimates; Note: Priced as of 3 July 2026

Figure 28: Earnings sensitivity 2026E: implied dividend yield (%)

Hongqiao Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	5.5%	6.1%	6.7%	7.3%	8.0%	8.6%	9.2%	9.8%	10.4%	11.0%	11.6%	12.2%	12.8%	13.4%	14.0%
Px	2,700	5.7%	6.3%	6.9%	7.5%	8.1%	8.7%	9.4%	10.0%	10.6%	11.2%	11.8%	12.4%	13.0%	13.6%	14.2%
20.88	2,800	5.9%	6.5%	7.1%	7.7%	8.3%	8.9%	9.5%	10.2%	10.8%	11.4%	12.0%	12.6%	13.2%	13.8%	14.4%
	2,900	6.1%	6.7%	7.3%	7.9%	8.5%	9.1%	9.7%	10.3%	10.9%	11.6%	12.2%	12.8%	13.4%	14.0%	14.6%
	3,000	6.3%	6.9%	7.5%	8.1%	8.7%	9.3%	9.9%	10.5%	11.1%	11.7%	12.4%	13.0%	13.6%	14.2%	14.8%
	3,100	6.4%	7.1%	7.7%	8.3%	8.9%	9.5%	10.1%	10.7%	11.3%	11.9%	12.5%	13.2%	13.8%	14.4%	15.0%
Chalco-H Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	3.4%	4.0%	4.5%	5.0%	5.6%	6.1%	6.6%	7.2%	7.7%	8.2%	8.8%	9.3%	9.8%	10.3%	10.9%
Px	2,700	3.4%	3.9%	4.4%	4.9%	5.5%	6.0%	6.5%	7.1%	7.6%	8.1%	8.7%	9.2%	9.7%	10.3%	10.8%
7.70	2,800	3.3%	3.8%	4.3%	4.9%	5.4%	5.9%	6.5%	7.0%	7.5%	8.0%	8.6%	9.1%	9.6%	10.2%	10.7%
	2,900	3.2%	3.7%	4.2%	4.8%	5.3%	5.8%	6.4%	6.9%	7.4%	8.0%	8.5%	9.0%	9.6%	10.1%	10.6%
	3,000	3.1%	3.6%	4.1%	4.7%	5.2%	5.7%	6.3%	6.8%	7.3%	7.9%	8.4%	8.9%	9.5%	10.0%	10.5%
	3,100	3.0%	3.5%	4.1%	4.6%	5.1%	5.7%	6.2%	6.7%	7.2%	7.8%	8.3%	8.8%	9.4%	9.9%	10.4%
Chalco-A Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	2.8%	3.2%	3.6%	4.1%	4.5%	4.9%	5.3%	5.8%	6.2%	6.6%	7.0%	7.5%	7.9%	8.3%	8.8%
Px	2,700	2.7%	3.1%	3.6%	4.0%	4.4%	4.8%	5.3%	5.7%	6.1%	6.5%	7.0%	7.4%	7.8%	8.3%	8.7%
8.33	2,800	2.6%	3.1%	3.5%	3.9%	4.3%	4.8%	5.2%	5.6%	6.0%	6.5%	6.9%	7.3%	7.8%	8.2%	8.6%
	2,900	2.6%	3.0%	3.4%	3.8%	4.3%	4.7%	5.1%	5.6%	6.0%	6.4%	6.8%	7.3%	7.7%	8.1%	8.5%
	3,000	2.5%	2.9%	3.3%	3.8%	4.2%	4.6%	5.1%	5.5%	5.9%	6.3%	6.8%	7.2%	7.6%	8.0%	8.5%
	3,100	2.4%	2.8%	3.3%	3.7%	4.1%	4.6%	5.0%	5.4%	5.8%	6.3%	6.7%	7.1%	7.5%	8.0%	8.4%
Tianshan Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
	2,600	4.7%	5.1%	5.6%	6.0%	6.5%	6.9%	7.4%	7.9%	8.3%	8.8%	9.2%	9.7%	10.1%	10.6%	11.0%
Px	2,700	4.6%	5.1%	5.6%	6.0%	6.5%	6.9%	7.4%	7.8%	8.3%	8.7%	9.2%	9.6%	10.1%	10.5%	11.0%
11.37	2,800	4.6%	5.1%	5.5%	6.0%	6.4%	6.9%	7.3%	7.8%	8.2%	8.7%	9.2%	9.6%	10.1%	10.5%	11.0%
	2,900	4.6%	5.0%	5.5%	5.9%	6.4%	6.8%	7.3%	7.8%	8.2%	8.7%	9.1%	9.6%	10.0%	10.5%	10.9%
	3,000	4.5%	5.0%	5.5%	5.9%	6.4%	6.8%	7.3%	7.7%	8.2%	8.6%	9.1%	9.5%	10.0%	10.4%	10.9%
	3,100	4.5%	5.0%	5.4%	5.9%	6.3%	6.8%	7.2%	7.7%	8.1%	8.6%	9.1%	9.5%	10.0%	10.4%	10.9%

Source: UBS estimates; Note: Priced as of 3 July 2026

Figure 29: Earnings sensitivity 2027E: net profit (Rmb m)

Hongqiao Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000		
	2,600	16,462	18,194	19,926	21,657	23,389	25,121	26,852	28,584	30,316	32,047	33,779	35,511	37,243		
	2,700	16,998	18,730	20,462	22,193	23,925	25,657	27,388	29,120	30,852	32,583	34,315	36,047	37,778		
	2,800	17,534	19,266	20,998	22,729	24,461	26,193	27,924	29,656	31,388	33,119	34,851	36,583	38,314		
	2,900	18,070	19,802	21,533	23,265	24,997	26,729	28,460	30,192	31,924	33,655	35,387	37,119	38,850		
	3,000	18,606	20,338	22,069	23,801	25,533	27,265	28,996	30,728	32,460	34,191	35,923	37,655	39,386		
	3,100	19,142	20,874	22,605	24,337	26,069	27,800	29,532	31,264	32,996	34,727	36,459	38,191	39,922		
Chalco Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000		
	2,600	11,207	12,734	14,260	15,786	17,312	18,838	20,365	21,891	23,417	24,943	26,469	27,996	29,522		
	2,700	10,954	12,480	14,006	15,532	17,059	18,585	20,111	21,637	23,163	24,690	26,216	27,742	29,268		
	2,800	10,700	12,227	13,753	15,279	16,805	18,331	19,858	21,384	22,910	24,436	25,962	27,489	29,015		
	2,900	10,447	11,973	13,499	15,026	16,552	18,078	19,604	21,130	22,657	24,183	25,709	27,235	28,761		
	3,000	10,194	11,720	13,246	14,772	16,298	17,825	19,351	20,877	22,403	23,929	25,456	26,982	28,508		
	3,100	9,940	11,466	12,992	14,519	16,045	17,571	19,097	20,623	22,150	23,676	25,202	26,728	28,254		
Tianshan Aluminium		bearish					baseline									
Alumina		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000		
	2,600	5,163	5,637	6,110	6,584	7,058	7,531	8,005	8,478	8,952	9,425	9,899	10,372	10,846		
	2,700	5,123	5,597	6,070	6,544	7,017	7,491	7,965	8,438	8,912	9,385	9,859	10,332	10,806		
	2,800	5,083	5,557	6,030	6,504	6,977	7,451	7,924	8,398	8,872	9,345	9,819	10,292	10,766		
	2,900	5,043	5,517	5,990	6,464	6,937	7,411	7,884	8,358	8,831	9,305	9,779	10,252	10,726		
	3,000	5,003	5,476	5,950	6,424	6,897	7,371	7,844	8,318	8,791	9,265	9,738	10,212	10,686		
	3,100	4,963	5,436	5,910	6,383	6,857	7,331	7,804	8,278	8,751	9,225	9,698	10,172	10,645		

Source: UBS estimates

Figure 30: Earnings sensitivity 2027E: implied PE (x)

		bearish					baseline									
Hongqiao Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	10.4	9.4	8.6	7.9	7.3	6.8	6.4	6.0	5.6	5.3	5.1	4.8	4.6	4.4	4.2
Px	2,700	10.1	9.1	8.4	7.7	7.1	6.7	6.2	5.9	5.5	5.2	5.0	4.7	4.5	4.3	4.1
20.88	2,800	9.8	8.9	8.1	7.5	7.0	6.5	6.1	5.8	5.4	5.2	4.9	4.7	4.5	4.3	4.1
	2,900	9.5	8.6	7.9	7.4	6.8	6.4	6.0	5.7	5.4	5.1	4.8	4.6	4.4	4.2	4.0
	3,000	9.2	8.4	7.7	7.2	6.7	6.3	5.9	5.6	5.3	5.0	4.8	4.5	4.3	4.2	4.0
	3,100	8.9	8.2	7.6	7.0	6.6	6.2	5.8	5.5	5.2	4.9	4.7	4.5	4.3	4.1	3.9
Chalco-H Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	10.2	9.0	8.0	7.2	6.6	6.1	5.6	5.2	4.9	4.6	4.3	4.1	3.9	3.7	3.5
Px	2,700	10.4	9.2	8.2	7.4	6.7	6.1	5.7	5.3	4.9	4.6	4.4	4.1	3.9	3.7	3.5
7.70	2,800	10.7	9.3	8.3	7.5	6.8	6.2	5.8	5.3	5.0	4.7	4.4	4.2	3.9	3.7	3.6
	2,900	10.9	9.5	8.5	7.6	6.9	6.3	5.8	5.4	5.0	4.7	4.4	4.2	4.0	3.8	3.6
	3,000	11.2	9.7	8.6	7.7	7.0	6.4	5.9	5.5	5.1	4.8	4.5	4.2	4.0	3.8	3.6
	3,100	11.5	10.0	8.8	7.9	7.1	6.5	6.0	5.5	5.2	4.8	4.5	4.3	4.0	3.8	3.6
Chalco-A Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	12.8	11.2	10.0	9.1	8.3	7.6	7.0	6.5	6.1	5.7	5.4	5.1	4.8	4.6	4.4
Px	2,700	13.0	11.5	10.2	9.2	8.4	7.7	7.1	6.6	6.2	5.8	5.5	5.2	4.9	4.6	4.4
8.33	2,800	13.4	11.7	10.4	9.4	8.5	7.8	7.2	6.7	6.2	5.8	5.5	5.2	4.9	4.7	4.5
	2,900	13.7	11.9	10.6	9.5	8.6	7.9	7.3	6.8	6.3	5.9	5.6	5.2	5.0	4.7	4.5
	3,000	14.0	12.2	10.8	9.7	8.8	8.0	7.4	6.8	6.4	6.0	5.6	5.3	5.0	4.8	4.5
	3,100	14.4	12.5	11.0	9.8	8.9	8.1	7.5	6.9	6.5	6.0	5.7	5.3	5.1	.0	.0
Tianshan Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	10.2	9.3	8.6	8.0	7.5	7.0	6.6	6.2	5.9	5.6	5.3	5.1	4.9	4.6	4.5
Px	2,700	10.3	9.4	8.7	8.0	7.5	7.0	6.6	6.2	5.9	5.6	5.3	5.1	4.9	4.7	4.5
11.37	2,800	10.4	9.5	8.7	8.1	7.5	7.1	6.6	6.3	5.9	5.6	5.4	5.1	4.9	4.7	4.5
	2,900	10.4	9.5	8.8	8.1	7.6	7.1	6.7	6.3	6.0	5.7	5.4	5.1	4.9	4.7	4.5
	3,000	10.5	9.6	8.8	8.2	7.6	7.1	6.7	6.3	6.0	5.7	5.4	5.2	4.9	4.7	4.5
	3,100	10.6	9.7	8.9	8.2	7.7	7.2	6.7	6.4	6.0	5.7	5.4	5.2	4.9	4.7	4.5

Source: UBS estimates; Note: Priced as of 3 July 2026

Figure 31: Earnings sensitivity 2027E: implied dividend yield (%)

		bearish					baseline									
Hongqiao Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	6.3%	6.9%	7.6%	8.2%	8.9%	9.5%	10.2%	10.9%	11.5%	12.2%	12.8%	13.5%	14.2%	14.8%	15.5%
Px	2,700	6.5%	7.1%	7.8%	8.4%	9.1%	9.8%	10.4%	11.1%	11.7%	12.4%	13.0%	13.7%	14.4%	15.0%	15.7%
20.88	2,800	6.7%	7.3%	8.0%	8.6%	9.3%	10.0%	10.6%	11.3%	11.9%	12.6%	13.2%	13.9%	14.6%	15.2%	15.9%
	2,900	6.9%	7.5%	8.2%	8.8%	9.5%	10.2%	10.8%	11.5%	12.1%	12.8%	13.4%	14.1%	14.8%	15.4%	16.1%
	3,000	7.1%	7.7%	8.4%	9.0%	9.7%	10.4%	11.0%	11.7%	12.3%	13.0%	13.7%	14.3%	15.0%	15.6%	16.3%
	3,100	7.3%	7.9%	8.6%	9.2%	9.9%	10.6%	11.2%	11.9%	12.5%	13.2%	13.9%	14.5%	15.2%	15.8%	16.5%
Chalco-H Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	3.9%	4.5%	5.0%	5.5%	6.1%	6.6%	7.1%	7.7%	8.2%	8.7%	9.3%	9.8%	10.3%	10.9%	11.4%
Px	2,700	3.8%	4.4%	4.9%	5.4%	6.0%	6.5%	7.0%	7.6%	8.1%	8.6%	9.2%	9.7%	10.3%	10.8%	11.3%
7.70	2,800	3.7%	4.3%	4.8%	5.4%	5.9%	6.4%	7.0%	7.5%	8.0%	8.6%	9.1%	9.6%	10.2%	10.7%	11.2%
	2,900	3.7%	4.2%	4.7%	5.3%	5.8%	6.3%	6.9%	7.4%	7.9%	8.5%	9.0%	9.5%	10.1%	10.6%	11.1%
	3,000	3.6%	4.1%	4.6%	5.2%	5.7%	6.2%	6.8%	7.3%	7.8%	8.4%	8.9%	9.5%	10.0%	10.5%	11.1%
	3,100	3.5%	4.0%	4.6%	5.1%	5.6%	6.2%	6.7%	7.2%	7.8%	8.3%	8.8%	9.4%	9.9%	10.4%	11.0%
Chalco-A Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	3.1%	3.6%	4.0%	4.4%	4.8%	5.3%	5.7%	6.1%	6.6%	7.0%	7.4%	7.8%	8.3%	8.7%	9.1%
Px	2,700	3.1%	3.5%	3.9%	4.3%	4.8%	5.2%	5.6%	6.1%	6.5%	6.9%	7.3%	7.8%	8.2%	8.6%	9.0%
8.33	2,800	3.0%	3.4%	3.8%	4.3%	4.7%	5.1%	5.6%	6.0%	6.4%	6.8%	7.3%	7.7%	8.1%	8.5%	9.0%
	2,900	2.9%	3.4%	3.8%	4.2%	4.6%	5.1%	5.5%	5.9%	6.3%	6.8%	7.2%	7.6%	8.1%	8.5%	8.9%
	3,000	2.9%	3.3%	3.7%	4.1%	4.6%	5.0%	5.4%	5.8%	6.3%	6.7%	7.1%	7.6%	8.0%	8.4%	8.8%
	3,100	2.8%	3.2%	3.6%	4.1%	4.5%	4.9%	5.3%	5.8%	6.2%	6.6%	7.1%	7.5%	7.9%	8.3%	8.8%
Tianshan Aluminium		19,000	19,500	20,000	20,500	21,000	21,500	22,000	22,500	23,000	23,500	24,000	24,500	25,000	25,500	26,000
Alumina	2,600	5.1%	5.6%	6.1%	6.6%	7.0%	7.5%	8.0%	8.4%	8.9%	9.4%	9.9%	10.3%	10.8%	11.3%	11.7%
Px	2,700	5.1%	5.6%	6.0%	6.5%	7.0%	7.5%	7.9%	8.4%	8.9%	9.3%	9.8%	10.3%	10.8%	11.2%	11.7%
11.37	2,800	5.1%	5.5%	6.0%	6.5%	6.9%	7.4%	7.9%	8.4%	8.8%	9.3%	9.8%	10.2%	10.7%	11.2%	11.7%
	2,900	5.0%	5.5%	6.0%	6.4%	6.9%	7.4%	7.9%	8.3%	8.8%	9.3%	9.7%	10.2%	10.7%	11.2%	11.6%
	3,000	5.0%	5.5%	5.9%	6.4%	6.9%	7.3%	7.8%	8.3%	8.8%	9.2%	9.7%	10.2%	10.6%	11.1%	11.6%
	3,100	4.9%	5.4%	5.9%	6.4%	6.8%	7.3%	7.8%	8.2%	8.7%	9.2%	9.7%	10.1%	10.6%	11.1%	11.5%

Source: UBS estimates; Note: Priced as of 3 July 2026

Figure 32: Valuation comps

	Ticker	Rating	Price	PT	MKT Cap	PE (x)		EV/EBITDA (x)		PB (x)		ROE		Div. yield		
			(LC)	(LC)	US\$ m	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	
Aluminium																
	Chalco A	601600.SS	Buy	8.33	13.50	21,075	6.6	6.8	3.4	3.3	1.6	1.4	25.9	21.5	6.0	5.9
	Tianshan	002532.SZ	Buy	11.37	18.10	7,762	6.4	6.3	4.8	4.4	1.5	1.3	25.5	22.4	8.2	8.3
	YunAl*	000807.SZ	Not Rated	22.42	NA	11,467	6.0	5.5	3.8	3.6	1.8	1.5	29.0	25.0	5.5	5.3
	Shenhua*	000933.SZ	Not Rated	22.06	NA	3,416	5.5	5.3	3.4	3.4	1.7	1.4	28.7	25.4	8.6	8.8
	Nanshan*	600219.SS	Not Rated	4.17	NA	7,350	8.1	7.0	3.6	3.3	0.9	0.8	11.7	12.7	6.9	7.8
	Zhongfu*	600595.SS	Not Rated	5.91	NA	3,495	5.9	5.2	-	-	1.2	1.0	19.7	19.1	3.4	3.9
A-share avg.						6.4	6.0	3.8	3.6	1.4	1.2	23.4	21.0	6.4	6.7	
	Chalco	2600.HK	Buy	7.70	14.20	16,841	5.3	5.4	2.9	2.8	1.2	1.1	25.9	21.5	7.5	7.4
	Hongqiao	1378.HK	Buy	20.88	36.80	25,036	5.7	5.7	3.3	3.1	1.1	1.1	21.6	19.5	10.7	11.5
H-share avg.						5.5	5.5	3.1	3.0	1.2	1.1	23.7	20.5	9.1	9.4	
	Alcoa	AA.N	Restricted	48.68	-	12,934	-	-	-	-	-	-	-	-	-	-
	Alcoa	AAI.AX	Restricted	73.09	-	13,310	-	-	-	-	-	-	-	-	-	-
	South32	S32.AX	Restricted	4.16	-	12,996	-	-	-	-	-	-	-	-	-	-
	Norsk Hydro	NHY.OL	Neutral	86.42	95.00	17,259	10.3	10.8	4.8	4.5	1.6	1.5	15.7	14.4	8.3	8.5
Ex-China share avg.						10.3	10.8	4.8	4.5	1.6	1.5	15.7	14.4	8.3	8.5	

Source: LSEG Workspace, UBS estimates. *Non-rated stocks are LSEG Workspace consensus forecasts. Note: Priced as of 3 July 2026

China Hongqiao Group (1378.HK)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	133,624	156,169	162,354	169,752	4.6	168,473	-0.8	168,481	168,488	168,496
Gross profit	20,955	42,163	41,505	51,450	24.0	49,991	-2.8	46,724	47,552	48,204
EBITDA (UBS)	22,388	43,033	43,453	53,557	23.3	53,475	-0.2	50,915	51,927	52,747
Depreciation & amortisation	(7,141)	(6,524)	(6,966)	(7,128)	-2.3	(7,864)	-10.3	(8,066)	(8,251)	(8,418)
EBIT (UBS)	15,246	36,509	36,487	46,429	27.2	45,611	-1.8	42,849	43,676	44,328
Associates & investment income	1,144	(434)	(1,153)	(400)	65.3	(400)	0.0	(400)	(400)	(400)
Other non-operating income	2,768	86	1,196	1,876	56.9	2,368	26.2	2,619	2,806	2,806
Net interest	(3,268)	(3,363)	(3,483)	(3,517)	-1.0	(3,561)	-1.3	(4,078)	(4,685)	(5,299)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	15,890	32,797	33,046	44,388	34.3	44,017	-0.8	40,990	41,398	41,436
Tax	(3,393)	(8,252)	(8,893)	(11,945)	-34.3	(11,845)	0.8	(10,620)	(10,312)	(9,907)
Profit after tax	12,498	24,546	24,154	32,444	34.3	32,173	-0.8	30,370	31,086	31,529
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(1,037)	(2,173)	(1,518)	(2,039)	-34.3	(1,981)	2.8	(1,845)	(1,863)	(1,865)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	11,461	22,372	22,636	30,405	34.3	30,192	-0.7	28,525	29,223	29,664
Net earnings (UBS)	11,461	22,372	22,636	30,405	34.3	30,192	-0.7	28,525	29,223	29,664
Tax rate (%)	21.4	25.2	26.9	26.9	0.0	26.9	0.0	25.9	24.9	23.9
Per Share (Rmb)										
EPS (UBS, diluted)	1.17	2.36	2.39	3.21	34.3	3.19	-0.7	3.01	3.08	3.13
EPS (local GAAP, diluted)	1.17	2.36	2.39	3.21	34.3	3.19	-0.7	3.01	3.08	3.13
EPS (UBS, basic)	1.21	2.36	2.39	3.21	34.3	3.19	-0.7	3.01	3.08	3.13
DPS (net) (Rmb)	0.57	1.46	1.45	1.95	34.3	2.07	6.2	1.96	2.00	2.03
Cash EPS (UBS, diluted) ¹	1.90	3.05	3.12	3.96	26.8	4.02	1.4	3.86	3.95	4.02
Book value per share	9.74	11.38	14.10	15.87	12.6	17.11	7.8	18.06	19.20	20.33
Average shares (diluted)	9,801	9,476	9,476	9,476	0.0	9,476	0.0	9,476	9,476	9,476
Balance Sheet (Rmbm)										
Cash and equivalents	31,721	44,770	51,187	78,428	53.2	101,516	29.4	122,882	149,360	175,289
Other current assets	55,674	65,054	63,380	63,481	0.2	63,367	-0.2	64,372	64,143	63,966
Total current assets	87,395	109,825	114,567	141,908	23.9	164,883	16.2	187,254	213,503	239,255
Net tangible fixed assets	70,200	75,393	78,986	87,136	10.3	89,380	2.6	91,423	93,282	94,973
Net intangible fixed assets	321	324	256	747	191.7	1,235	65.2	1,722	2,210	2,697
Investments / other assets	42,404	43,624	51,570	48,607	-5.7	49,922	2.7	51,315	50,536	50,524
Total assets	200,320	229,165	245,379	278,399	13.5	305,421	9.7	331,714	359,530	387,450
Trade payables & other ST liabilities	24,911	31,879	25,800	25,537	-1.0	25,959	1.7	26,318	26,248	26,155
Short term debt	49,118	45,104	28,289	28,289	0.0	28,289	0.0	28,289	28,289	28,289
Total current liabilities	74,029	76,983	54,089	53,826	-0.5	54,248	0.8	54,607	54,537	54,444
Long term debt	14,314	27,890	46,147	60,745	31.6	73,652	21.2	88,842	104,184	119,663
Other long term liabilities	5,721	5,679	3,433	3,433	0.0	3,433	0.0	3,433	3,433	3,433
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	94,064	110,552	103,669	118,003	13.8	131,333	11.3	146,881	162,153	177,539
Common s/h equity	92,245	107,800	132,593	149,240	12.6	160,951	7.8	169,852	180,533	191,202
Minority interests	14,012	10,814	9,117	11,156	22.4	13,137	17.8	14,981	16,844	18,709
Total liabilities & equity	200,320	229,165	245,379	278,399	13.5	305,421	9.7	331,714	359,530	387,450
Cash Flow (Rmbm)										
Net income (before pref divs)	11,461	22,372	22,636	30,405	34.3	30,192	-0.7	28,525	29,223	29,664
Depreciation & amortisation	7,141	6,524	6,966	7,128	2.3	7,864	10.3	8,066	8,251	8,418
Net change in working capital	(983)	(4,459)	12,763	(364)	-	536	-	(646)	159	83
Other operating	4,783	9,545	(3,369)	5,556	-	5,542	-0.2	5,922	6,548	7,164
Operating cash flow	22,402	33,983	38,995	42,725	9.6	44,134	3.3	41,868	44,181	45,330
Tangible capital expenditure	(6,046)	(12,609)	(10,657)	(15,278)	-43.4	(10,108)	33.8	(10,109)	(10,109)	(10,110)
Intangible capital expenditure	(1,209)	(213)	(470)	(491)	-4.6	(487)	0.8	(488)	(488)	(488)
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	(10,633)	264	(11,368)	849	-	(5,119)	-	(2,914)	(590)	(1,221)
Investing cash flow	(17,889)	(12,557)	(22,494)	(14,920)	33.7	(15,714)	-5.3	(13,511)	(11,187)	(11,819)
Equity dividends paid	(4,369)	(9,348)	(11,102)	(13,758)	-23.9	(18,481)	-34.3	(19,625)	(18,541)	(18,995)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(1,480)	(6,845)	(110)	(3,517)	NM	(3,561)	-1.3	(4,078)	(4,685)	(5,299)
Change in debt & pref shares	5,671	7,817	1,128	16,711	NM	16,711	0.0	16,711	16,711	16,711
Financing cash flow	(177)	(8,376)	(10,084)	(565)	94.4	(5,331)	NM	(6,991)	(6,515)	(7,583)
Cash flow inc/(dec) in cash	4,337	13,049	6,417	27,240	324.5	23,089	-15.2	21,366	26,478	25,928
FX / non cash items	0	0	0	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	4,337	13,049	6,417	27,240	324.5	23,089	-15.2	21,366	26,478	25,928

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts. ¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	5.7	4.0	7.8	5.7	5.7	6.0	5.9	5.8
P/E (UBS, diluted)	5.7	4.0	7.8	5.7	5.7	6.0	5.9	5.8
P/CEPS	3.4	3.1	6.0	4.6	4.5	4.7	4.6	4.5
Equity FCF (UBS) yield %	24.2	23.8	15.8	15.8	19.7	18.4	19.8	20.4
Dividend yield (net) %	8.5	15.3	8.0	10.8	11.5	10.8	11.1	11.3
P/BV	0.7	0.8	1.3	1.1	1.1	1.0	0.9	0.9
EV/revenues (core)	0.7	0.7	1.2	1.0	1.0	1.0	0.9	0.9
EV/EBITDA (UBS core)	4.3	2.7	4.4	3.3	3.1	3.2	3.0	2.8
EV/EBIT (core)	6.3	3.2	5.2	3.8	3.7	3.8	3.5	3.3
EV/OpFCF (core)	6.3	3.2	5.2	3.8	3.7	3.8	3.5	3.3
EV/op. invested capital	0.8	0.9	1.4	1.2	1.1	1.0	1.0	0.9
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	62,653	88,966	175,573	169,776	169,776	169,776	169,776	169,776
Net debt (cash)	31,711	31,711	25,736	16,927	5,515	(2,663)	(11,320)	(22,113)
Buy out of minorities	14,012	10,814	9,117	11,156	13,137	14,981	16,844	18,709
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	108,375	131,490	210,426	197,859	188,428	182,094	175,301	166,372
Non core assets	(13,034)	(15,222)	(20,423)	(20,423)	(20,423)	(20,423)	(20,423)	(20,423)
Core enterprise value	95,341	116,268	190,003	177,436	168,005	161,671	154,878	145,949
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	1.5	16.9	4.0	4.6	(0.8)	0.0	0.0	0.0
EBITDA (UBS)	20.3	92.2	1.0	23.3	(0.2)	(4.8)	2.0	1.6
EBIT (UBS)	30.2	139.5	(0.1)	27.2	(1.8)	(6.1)	1.9	1.5
EPS (UBS, diluted)	25.0	101.9	1.2	34.3	(0.7)	(5.5)	2.4	1.5
Net DPS	30.8	157.4	(0.5)	34.3	6.2	(5.5)	2.4	1.5
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	15.7	27.0	25.6	30.3	29.7	27.7	28.2	28.6
EBITDA margin	16.8	27.6	26.8	31.6	31.7	30.2	30.8	31.3
EBIT (UBS) margin	11.4	23.4	22.5	27.4	27.1	25.4	25.9	26.3
Net earnings (UBS) margin	8.6	14.3	13.9	17.9	17.9	16.9	17.3	17.6
ROIC (EBIT)	12.6	28.5	26.4	31.5	29.9	27.4	27.4	27.5
ROIC post tax	9.7	21.4	19.6	23.1	22.0	20.4	20.6	21.0
ROE (UBS)	13.0	22.4	18.8	21.6	19.5	17.2	16.7	16.0
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.4	0.7	0.5	0.2	0.0	(0.1)	(0.3)	(0.5)
Net debt / total equity %	29.8	23.8	16.4	6.6	0.2	(3.1)	(8.6)	(13.0)
Net debt / (net debt + total equity) %	23.0	19.2	14.1	6.2	0.2	(3.2)	(9.4)	(15.0)
Net debt/EV %	29.5	22.8	12.2	8.6	2.9	(1.5)	(6.5)	(13.3)
Capex / depreciation %	84.7	193.3	153.0	NM	128.5	125.3	122.5	120.1
Capex / revenue %	4.5	8.1	6.6	9.0	6.0	6.0	6.0	6.0
EBIT / net interest	5.0	10.7	10.1	13.1	12.7	10.4	9.2	8.3
Dividend cover (UBS)	2.1	1.6	1.6	1.6	1.5	1.5	1.5	1.5
Div. payout ratio (UBS) %	46.9	61.8	60.8	60.8	65.0	65.0	65.0	65.0
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Alluminium Alloy	94,641	102,434	106,096	118,616	116,026	116,026	116,026	116,026
Alumina	26,557	37,352	38,834	33,692	34,895	34,895	34,895	34,895
Aluminium fabrication	11,500	15,571	16,687	16,700	16,800	16,800	16,800	16,800
Steam and others	925	812	737	744	752	759	767	774
Others	1	0	0	0	0	1	0	1
Total	133,624	156,169	162,354	169,752	168,473	168,481	168,488	168,496
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	15,246	36,509	36,487	46,429	45,611	42,849	43,676	44,328
Total	15,246	36,509	36,487	46,429	45,611	42,849	43,676	44,328

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Aluminum Corporation of China (2600.HK)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	225,071	237,066	241,125	276,201	14.5	271,942	-1.5	272,969	272,761	272,605
Gross profit	26,443	34,260	39,852	60,379	51.5	59,321	-1.8	58,880	61,156	61,099
EBITDA (UBS)	28,698	36,905	40,409	59,715	47.8	58,964	-1.3	58,523	61,029	61,065
Depreciation & amortisation	(10,769)	(11,644)	(10,182)	(10,441)	-2.5	(10,570)	-1.2	(10,557)	(10,778)	(10,866)
EBIT (UBS)	17,930	25,261	30,227	49,274	63.0	48,393	-1.8	47,966	50,250	50,199
Associates & investment income	391	871	680	300	-55.9	0	-	0	0	0
Other non-operating income	(257)	(1,133)	(2,906)	(3,314)	-14.1	(3,535)	-6.7	(3,549)	(3,546)	(3,544)
Net interest	(2,972)	(2,677)	(2,162)	(2,156)	0.3	(1,737)	19.5	(1,412)	(1,160)	(965)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	15,091	22,322	25,840	44,104	70.7	43,121	-2.2	43,005	45,544	45,690
Tax	(2,507)	(2,940)	(4,315)	(7,364)	-70.7	(7,200)	2.2	(7,181)	(7,605)	(7,629)
Profit after tax	12,584	19,382	21,525	36,739	70.7	35,921	-2.2	35,824	37,940	38,061
Preference dividends	(60)	(79)	0	0	-	0	-	0	0	0
Minorities	(5,867)	(6,982)	(8,851)	(15,128)	-70.9	(14,791)	2.2	(14,536)	(15,394)	(15,443)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	6,657	12,321	12,674	21,612	70.5	21,130	-2.2	21,289	22,546	22,618
Net earnings (UBS)	6,657	12,321	12,674	21,612	70.5	21,130	-2.2	21,289	22,546	22,618
Tax rate (%)	16.6	13.2	16.7	16.7	0.0	16.7	0.0	16.7	16.7	16.7
Per Share (Rmb)										
EPS (UBS, diluted)	0.39	0.72	0.74	1.26	70.5	1.23	-2.2	1.24	1.31	1.32
EPS (local GAAP, diluted)	0.39	0.72	0.74	1.26	70.5	1.23	-2.2	1.24	1.31	1.32
EPS (UBS, basic)	0.39	0.72	0.74	1.26	70.5	1.23	-2.2	1.24	1.31	1.32
DPS (net) (Rmb)	0.08	0.22	0.27	0.50	86.6	0.49	-2.2	0.50	0.53	0.53
Cash EPS (UBS, diluted) ¹	1.02	1.40	1.33	1.87	40.2	1.85	-1.1	1.86	1.94	1.95
Book value per share	3.41	3.97	4.37	5.36	22.7	6.08	13.6	6.83	7.65	8.44
Average shares (diluted)	17,162	17,156	17,156	17,156	0.0	17,156	0.0	17,156	17,156	17,156
Balance Sheet (Rmbm)										
Cash and equivalents	18,440	20,749	27,993	44,842	60.2	58,969	31.5	74,583	93,772	113,956
Other current assets	40,001	38,302	43,648	43,002	-1.5	42,377	-1.5	42,602	42,354	42,339
Total current assets	58,441	59,051	71,641	87,844	22.6	101,346	15.4	117,186	136,127	156,296
Net tangible fixed assets	104,810	106,431	103,936	105,758	1.8	107,262	1.4	108,678	109,968	111,142
Net intangible fixed assets	13,727	20,753	20,952	24,837	18.5	28,662	15.4	32,648	36,529	40,428
Investments / other assets	34,779	29,660	30,492	32,682	7.2	32,416	-0.8	32,480	32,467	32,457
Total assets	211,756	215,896	227,022	251,121	10.6	269,685	7.4	290,992	315,090	340,323
Trade payables & other ST liabilities	34,372	35,602	34,867	37,388	7.2	36,833	-1.5	37,088	36,657	36,640
Short term debt	24,334	10,596	17,914	15,542	-13.2	13,705	-11.8	12,281	11,178	10,324
Total current liabilities	58,706	46,198	52,782	52,930	0.3	50,538	-4.5	49,369	47,835	46,964
Long term debt	41,840	43,843	36,210	28,053	-22.5	21,733	-22.5	16,837	13,044	10,106
Other long term liabilities	12,321	13,813	15,459	15,459	0.0	15,459	0.0	15,459	15,459	15,459
Preferred shares	2,000	1,000	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	114,867	104,855	104,450	96,441	-7.7	87,730	-9.0	81,665	76,338	72,528
Common s/h equity	58,458	68,191	74,925	91,905	22.7	104,390	13.6	117,227	131,257	144,856
Minority interests	38,431	42,849	47,647	62,774	31.7	77,565	23.6	92,101	107,495	122,938
Total liabilities & equity	211,756	215,896	227,022	251,121	10.6	269,685	7.4	290,992	315,090	340,323
Cash Flow (Rmbm)										
Net income (before pref divs)	6,717	12,400	12,674	21,612	70.5	21,130	-2.2	21,289	22,546	22,618
Depreciation & amortisation	10,769	11,644	10,182	10,441	2.5	10,570	1.2	10,557	10,778	10,866
Net change in working capital	404	(1,220)	(63)	3,138	-	42	-98.7	0	(212)	(32)
Other operating	9,555	8,763	11,236	17,277	53.8	16,521	-4.4	15,941	16,548	16,402
Operating cash flow	27,445	31,587	34,030	52,468	54.2	48,264	-8.0	47,786	49,659	49,854
Tangible capital expenditure	(6,709)	(10,360)	(9,244)	(10,589)	-14.5	(10,425)	1.5	(10,465)	(10,457)	(10,451)
Intangible capital expenditure	(11,078)	(5,428)	(13,449)	(5,524)	58.9	(5,439)	1.5	(5,459)	(5,455)	(5,452)
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	6,606	8,159	9,391	(2,190)	-	266	-	(64)	13	10
Investing cash flow	(11,181)	(7,628)	(13,302)	(18,302)	-37.6	(15,598)	14.8	(15,988)	(15,899)	(15,893)
Equity dividends paid	(1,373)	(3,723)	(4,632)	(8,645)	-86.6	(8,452)	2.2	(8,515)	(9,018)	(9,047)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(4,494)	(6,352)	(9,130)	1,857	-	(1,929)	-	(1,348)	(657)	(936)
Change in debt & pref shares	(8,430)	(12,873)	(1,908)	(10,529)	NM	(8,157)	22.5	(6,319)	(4,896)	(3,793)
Financing cash flow	(14,297)	(22,948)	(15,669)	(17,317)	-10.5	(18,538)	-7.1	(16,183)	(14,571)	(13,776)
Cash flow inc/(dec) in cash	1,966	1,010	5,058	16,849	233.1	14,127	-16.2	15,615	19,189	20,184
FX / non cash items	(344)	1,299	2,186	0	-	0	-300.0	0	0	0
Balance sheet inc/(dec) in cash	1,623	2,309	7,244	16,849	132.6	14,127	-16.2	15,615	19,189	20,184

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts. ¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	9.2	6.2	8.3	5.3	5.4	5.4	5.1	5.1
P/E (UBS, diluted)	9.2	6.2	8.3	5.3	5.4	5.4	5.1	5.1
P/CEPS	3.5	3.2	4.6	3.6	3.6	3.6	3.4	3.4
Equity FCF (UBS) yield %	15.7	20.6	10.8	31.6	28.3	27.9	29.5	29.7
Dividend yield (net) %	2.2	4.8	4.5	7.6	7.4	7.4	7.9	7.9
P/BV	1.1	1.1	1.4	1.2	1.1	1.0	0.9	0.8
EV/revenues (core)	0.7	0.7	0.7	0.6	0.6	0.6	0.5	0.5
EV/EBITDA (UBS core)	5.4	4.7	4.2	2.9	2.8	2.7	2.5	2.3
EV/EBIT (core)	8.7	6.8	5.6	3.6	3.4	3.3	3.0	2.8
EV/OpFCF (core)	7.9	6.3	5.3	3.4	3.3	3.2	2.9	2.7
EV/op. invested capital	1.1	1.3	1.3	1.3	1.2	1.1	1.0	0.9
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	61,516	76,872	104,336	114,204	114,204	114,204	114,204	114,204
Net debt (cash)	66,082	66,082	30,411	12,442	(12,389)	(34,498)	(57,507)	(81,538)
Buy out of minorities	38,431	42,849	47,647	62,774	77,565	92,101	107,495	122,938
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	166,030	185,803	182,393	189,421	179,381	171,807	164,192	155,605
Non core assets	(10,040)	(13,323)	(14,321)	(14,321)	(14,321)	(14,321)	(14,321)	(14,321)
Core enterprise value	155,990	172,481	168,072	175,100	165,059	157,486	149,871	141,283
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(22.7)	5.3	1.7	14.5	(1.5)	0.4	(0.1)	(0.1)
EBITDA (UBS)	(10.3)	28.6	9.5	47.8	(1.3)	(0.7)	4.3	0.1
EBIT (UBS)	(15.5)	40.9	19.7	63.0	(1.8)	(0.9)	4.8	(0.1)
EPS (UBS, diluted)	63.0	85.2	2.9	70.5	(2.2)	0.7	5.9	0.3
Net DPS	122.2	171.3	24.4	86.6	(2.2)	0.7	5.9	0.3
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	11.7	14.5	16.5	21.9	21.8	21.6	22.4	22.4
EBITDA margin	12.8	15.6	16.8	21.6	21.7	21.4	22.4	22.4
EBIT (UBS) margin	8.0	10.7	12.5	17.8	17.8	17.6	18.4	18.4
Net earnings (UBS) margin	3.0	5.2	5.3	7.8	7.8	7.8	8.3	8.3
ROIC (EBIT)	13.2	18.8	22.7	36.0	34.2	32.7	33.0	31.9
ROIC post tax	11.0	16.2	18.8	30.0	28.5	27.2	27.5	26.6
ROE (UBS)	12.0	19.5	17.7	25.9	21.5	19.2	18.1	16.4
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.7	0.9	0.6	0.0	(0.4)	(0.8)	(1.1)	(1.5)
Net debt / total equity %	51.3	31.2	21.3	(0.8)	(12.9)	(21.7)	(29.1)	(34.9)
Net debt / (net debt + total equity) %	33.9	23.8	17.6	(0.8)	(14.9)	(27.7)	(41.1)	(53.7)
Net debt/EV %	32.7	22.7	16.7	6.6	(6.9)	(20.1)	(35.0)	(52.4)
Capex / depreciation %	74.4	108.2	103.0	120.8	116.9	115.7	114.1	112.7
Capex / revenue %	3.0	4.4	3.8	3.8	3.8	3.8	3.8	3.8
EBIT / net interest	6.2	9.8	14.3	23.0	27.9	34.0	43.3	52.0
Dividend cover (UBS)	4.8	3.3	2.7	2.5	2.5	2.5	2.5	2.5
Div. payout ratio (UBS) %	20.6	30.2	36.5	40.0	40.0	40.0	40.0	40.0
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Primary Aluminium Segment	82,135	115,368	138,468	156,642	16,852	36,441	43,957	153,237
Trading Segment	185,481	172,727	142,182	153,058	71,264	122,511	140,781	153,492
Alumina Segment	53,526	74,004	61,585	58,326	21,075	32,384	28,173	62,537
Energy Segment	9,256	8,693	8,182	10,085	3,297	4,762	4,819	9,527
Corp. and other operating segment	2,354	2,663	1,981	1,473	194	240	930	451
Others	(107,681)	(136,389)	(111,273)	(103,383)	159,260	76,631	54,101	(106,639)
Total	225,071	237,066	241,125	276,201	271,942	272,969	272,761	272,605
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,930	25,261	30,227	49,274	48,393	47,966	50,250	50,199
Total	17,930	25,261	30,227	49,274	48,393	47,966	50,250	50,199

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Aluminum Corporation of China - A (601600.SS)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	225,071	237,066	241,125	276,201	14.5	271,942	-1.5	272,969	272,761	272,605
Gross profit	26,443	34,260	39,852	60,379	51.5	59,321	-1.8	58,880	61,156	61,099
EBITDA (UBS)	28,698	36,905	40,409	59,715	47.8	58,964	-1.3	58,523	61,029	61,065
Depreciation & amortisation	(10,769)	(11,644)	(10,182)	(10,441)	-2.5	(10,570)	-1.2	(10,557)	(10,778)	(10,866)
EBIT (UBS)	17,930	25,261	30,227	49,274	63.0	48,393	-1.8	47,966	50,250	50,199
Associates & investment income	391	871	680	300	-55.9	0	-	0	0	0
Other non-operating income	(257)	(1,133)	(2,906)	(3,314)	-14.1	(3,535)	-6.7	(3,549)	(3,546)	(3,544)
Net interest	(2,972)	(2,677)	(2,162)	(2,156)	0.3	(1,737)	19.5	(1,412)	(1,160)	(965)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	15,091	22,322	25,840	44,104	70.7	43,121	-2.2	43,005	45,544	45,690
Tax	(2,507)	(2,940)	(4,315)	(7,364)	-70.7	(7,200)	2.2	(7,181)	(7,605)	(7,629)
Profit after tax	12,584	19,382	21,525	36,739	70.7	35,921	-2.2	35,824	37,940	38,061
Preference dividends	(60)	(79)	(28)	0	-	0	-	0	0	0
Minorities	(5,867)	(6,982)	(8,851)	(15,128)	-70.9	(14,791)	2.2	(14,536)	(15,394)	(15,443)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	6,657	12,321	12,646	21,612	70.9	21,130	-2.2	21,289	22,546	22,618
Net earnings (UBS)	6,657	12,321	12,646	21,612	70.9	21,130	-2.2	21,289	22,546	22,618
Tax rate (%)	16.6	13.2	16.7	16.7	0.0	16.7	0.0	16.7	16.7	16.7
Per Share (Rmb)										
EPS (UBS, diluted)	0.39	0.72	0.74	1.26	70.9	1.23	-2.2	1.24	1.31	1.32
EPS (local GAAP, diluted)	0.39	0.72	0.74	1.26	70.9	1.23	-2.2	1.24	1.31	1.32
EPS (UBS, basic)	0.39	0.72	0.74	1.26	70.9	1.23	-2.2	1.24	1.31	1.32
DPS (net) (Rmb)	0.08	0.22	0.27	0.50	86.6	0.49	-2.2	0.50	0.53	0.53
Cash EPS (UBS, diluted) ¹	1.02	1.40	1.33	1.87	40.4	1.85	-1.1	1.86	1.94	1.95
Book value per share	3.41	3.97	4.37	5.36	22.7	6.08	13.6	6.83	7.65	8.44
Average shares (diluted)	17,162	17,156	17,156	17,156	0.0	17,156	0.0	17,156	17,156	17,156
Balance Sheet (Rmbm)										
Cash and equivalents	18,440	20,749	27,993	44,842	60.2	58,969	31.5	74,583	93,772	113,956
Other current assets	40,001	38,302	43,648	43,002	-1.5	42,377	-1.5	42,602	42,354	42,339
Total current assets	58,441	59,051	71,641	87,844	22.6	101,346	15.4	117,186	136,127	156,296
Net tangible fixed assets	104,810	106,431	103,936	105,758	1.8	107,262	1.4	108,678	109,968	111,142
Net intangible fixed assets	13,727	20,753	20,952	24,837	18.5	28,662	15.4	32,648	36,529	40,428
Investments / other assets	34,779	29,660	30,492	32,682	7.2	32,416	-0.8	32,480	32,467	32,457
Total assets	211,756	215,896	227,022	251,121	10.6	269,685	7.4	290,992	315,090	340,323
Trade payables & other ST liabilities	34,372	35,602	34,867	37,388	7.2	36,833	-1.5	37,088	36,657	36,640
Short term debt	24,334	10,596	17,914	15,542	-13.2	13,705	-11.8	12,281	11,178	10,324
Total current liabilities	58,706	46,198	52,782	52,930	0.3	50,538	-4.5	49,369	47,835	46,964
Long term debt	41,840	43,843	36,210	28,053	-22.5	21,733	-22.5	16,837	13,044	10,106
Other long term liabilities	12,321	13,813	15,459	15,459	0.0	15,459	0.0	15,459	15,459	15,459
Preferred shares	2,000	1,000	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	114,867	104,855	104,450	96,441	-7.7	87,730	-9.0	81,665	76,338	72,528
Common s/h equity	58,458	68,191	74,925	91,905	22.7	104,390	13.6	117,227	131,257	144,856
Minority interests	38,431	42,849	47,647	62,774	31.7	77,565	23.6	92,101	107,495	122,938
Total liabilities & equity	211,756	215,896	227,022	251,121	10.6	269,685	7.4	290,992	315,090	340,323
Cash Flow (Rmbm)										
Net income (before pref divs)	6,717	12,400	12,674	21,612	70.5	21,130	-2.2	21,289	22,546	22,618
Depreciation & amortisation	10,769	11,644	10,182	10,441	2.5	10,570	1.2	10,557	10,778	10,866
Net change in working capital	404	(1,220)	(63)	3,138	-	42	-98.7	0	(212)	(32)
Other operating	9,555	8,763	11,236	17,277	53.8	16,521	-4.4	15,941	16,548	16,402
Operating cash flow	27,445	31,587	34,030	52,468	54.2	48,264	-8.0	47,786	49,659	49,854
Tangible capital expenditure	(6,709)	(10,360)	(9,244)	(10,589)	-14.5	(10,425)	1.5	(10,465)	(10,457)	(10,451)
Intangible capital expenditure	(11,078)	(5,428)	(13,449)	(5,524)	58.9	(5,439)	1.5	(5,459)	(5,455)	(5,452)
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	6,606	8,159	9,391	(2,190)	-	266	-	(64)	13	10
Investing cash flow	(11,181)	(7,628)	(13,302)	(18,302)	-37.6	(15,598)	14.8	(15,988)	(15,899)	(15,893)
Equity dividends paid	(1,373)	(3,723)	(4,632)	(8,645)	-86.6	(8,452)	2.2	(8,515)	(9,018)	(9,047)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(4,494)	(6,352)	(9,130)	1,857	-	(1,929)	-	(1,348)	(657)	(936)
Change in debt & pref shares	(8,430)	(12,873)	(1,908)	(10,529)	NM	(8,157)	22.5	(6,319)	(4,896)	(3,793)
Financing cash flow	(14,297)	(22,948)	(15,669)	(17,317)	-10.5	(18,538)	-7.1	(16,183)	(14,571)	(13,776)
Cash flow inc/(dec) in cash	1,966	1,010	5,058	16,849	233.1	14,127	-16.2	15,615	19,189	20,184
FX / non cash items	(344)	1,299	2,186	0	-	0	-300.0	0	0	0
Balance sheet inc/(dec) in cash	1,623	2,309	7,244	16,849	132.6	14,127	-16.2	15,615	19,189	20,184

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts. ¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	14.8	10.0	10.9	6.6	6.8	6.7	6.3	6.3
P/E (UBS, diluted)	14.8	10.0	10.9	6.6	6.8	6.7	6.3	6.3
P/CEPS	5.7	5.1	6.1	4.5	4.5	4.5	4.3	4.3
Equity FCF (UBS) yield %	9.8	12.9	8.2	25.4	22.7	22.3	23.6	23.8
Dividend yield (net) %	1.4	3.0	3.4	6.0	5.9	6.0	6.3	6.3
P/BV	1.7	1.8	1.8	1.6	1.4	1.2	1.1	1.0
EV/revenues (core)	1.0	1.1	0.8	0.7	0.7	0.7	0.7	0.6
EV/EBITDA (UBS core)	7.8	6.8	5.0	3.4	3.3	3.2	2.9	2.8
EV/EBIT (core)	12.5	9.9	6.7	4.1	4.0	3.9	3.6	3.4
EV/OpFCF (core)	11.4	9.1	6.4	4.0	3.9	3.8	3.4	3.3
EV/op. invested capital	1.7	1.9	1.5	1.5	1.4	1.3	1.2	1.1
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	98,815	122,885	138,267	142,901	142,901	142,901	142,901	142,901
Net debt (cash)	96,942	96,942	30,411	12,442	(12,389)	(34,498)	(57,507)	(81,538)
Buy out of minorities	38,431	42,849	47,647	62,774	77,565	92,101	107,495	122,938
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	234,189	262,677	216,324	218,117	208,077	200,504	192,889	184,301
Non core assets	(10,040)	(13,323)	(14,321)	(14,321)	(14,321)	(14,321)	(14,321)	(14,321)
Core enterprise value	224,149	249,354	202,003	203,796	193,756	186,183	178,567	169,980
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(22.7)	5.3	1.7	14.5	(1.5)	0.4	(0.1)	(0.1)
EBITDA (UBS)	(10.3)	28.6	9.5	47.8	(1.3)	(0.7)	4.3	0.1
EBIT (UBS)	(15.5)	40.9	19.7	63.0	(1.8)	(0.9)	4.8	(0.1)
EPS (UBS, diluted)	63.0	85.2	2.6	70.9	(2.2)	0.7	5.9	0.3
Net DPS	122.2	171.3	24.4	86.6	(2.2)	0.7	5.9	0.3
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	11.7	14.5	16.5	21.9	21.8	21.6	22.4	22.4
EBITDA margin	12.8	15.6	16.8	21.6	21.7	21.4	22.4	22.4
EBIT (UBS) margin	8.0	10.7	12.5	17.8	17.8	17.6	18.4	18.4
Net earnings (UBS) margin	3.0	5.2	5.2	7.8	7.8	7.8	8.3	8.3
ROIC (EBIT)	13.2	18.8	22.7	36.0	34.2	32.7	33.0	31.9
ROIC post tax	11.0	16.2	18.8	30.0	28.5	27.2	27.5	26.6
ROE (UBS)	12.0	19.5	17.7	25.9	21.5	19.2	18.1	16.4
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.7	0.9	0.6	0.0	(0.4)	(0.8)	(1.1)	(1.5)
Net debt / total equity %	51.3	31.2	21.3	(0.8)	(12.9)	(21.7)	(29.1)	(34.9)
Net debt / (net debt + total equity) %	33.9	23.8	17.6	(0.8)	(14.9)	(27.7)	(41.1)	(53.7)
Net debt/EV %	23.2	16.1	14.1	5.7	(6.0)	(17.2)	(29.8)	(44.2)
Capex / depreciation %	74.4	108.2	103.0	120.8	116.9	115.7	114.1	112.7
Capex / revenue %	3.0	4.4	3.8	3.8	3.8	3.8	3.8	3.8
EBIT / net interest	6.2	9.8	14.3	23.0	27.9	34.0	43.3	52.0
Dividend cover (UBS)	4.8	3.3	2.7	2.5	2.5	2.5	2.5	2.5
Div. payout ratio (UBS) %	20.6	30.2	36.6	40.0	40.0	40.0	40.0	40.0
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Primary Aluminium Segment	82,135	115,368	138,468	156,642	16,852	36,441	43,957	153,237
Trading Segment	185,481	172,727	142,182	153,058	71,264	122,511	140,781	153,492
Alumina Segment	53,526	74,004	61,585	58,326	21,075	32,384	28,173	62,537
Energy Segment	9,256	8,693	8,182	10,085	3,297	4,762	4,819	9,527
Corp. and other operating segment	2,354	2,663	1,981	1,473	194	240	930	451
Others	(107,681)	(136,389)	(111,273)	(103,383)	159,260	76,631	54,101	(106,639)
Total	225,071	237,066	241,125	276,201	271,942	272,969	272,761	272,605
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,930	25,261	30,227	49,274	48,393	47,966	50,250	50,199
Total	17,930	25,261	30,227	49,274	48,393	47,966	50,250	50,199

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Tianshan Aluminum Group (002532.SZ)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	28,975	28,089	29,502	37,928	28.6	38,913	2.6	40,503	40,544	40,544
Gross profit	3,617	6,062	6,647	11,740	76.6	11,728	-0.1	11,930	12,096	12,240
EBITDA (UBS)	4,685	7,150	7,737	12,797	65.4	12,764	-0.3	12,872	12,984	13,079
Depreciation & amortisation	(1,647)	(1,708)	(1,812)	(1,986)	-9.6	(1,988)	-0.1	(1,933)	(1,880)	(1,831)
EBIT (UBS)	3,038	5,442	5,925	10,811	82.5	10,776	-0.3	10,939	11,104	11,248
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	401	487	137	0	-	0	-	0	0	0
Net interest	(788)	(707)	(470)	(477)	-1.6	(343)	28.2	(175)	(36)	57
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	2,652	5,223	5,593	10,334	84.8	10,433	1.0	10,765	11,068	11,304
Tax	(446)	(767)	(781)	(2,067)	-164.5	(2,087)	-1.0	(2,153)	(2,214)	(2,261)
Profit after tax	2,206	4,456	4,811	8,268	71.8	8,346	1.0	8,612	8,854	9,043
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	7	11	71.8	11	1.0	12	12	12
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	2,205	4,455	4,818	8,279	71.8	8,358	1.0	8,623	8,866	9,056
Net earnings (UBS)	2,205	4,455	4,818	8,279	71.8	8,358	1.0	8,623	8,866	9,056
Tax rate (%)	16.8	14.7	14.0	20.0	43.1	20.0	0.0	20.0	20.0	20.0
Per Share (Rmb)										
EPS (UBS, diluted)	0.47	0.96	1.04	1.79	71.8	1.81	1.0	1.86	1.92	1.96
EPS (local GAAP, diluted)	0.47	0.96	1.04	1.79	71.8	1.81	1.0	1.86	1.92	1.96
EPS (UBS, basic)	0.47	0.96	1.04	1.79	71.8	1.81	1.0	1.86	1.92	1.96
DPS (net) (Rmb)	0.15	0.40	0.55	0.94	70.4	0.95	1.0	0.98	1.00	1.03
Cash EPS (UBS, diluted) ¹	0.83	1.32	1.43	2.22	54.8	2.24	0.8	2.28	2.32	2.35
Book value per share	5.18	5.77	6.39	7.63	19.5	8.50	11.4	9.42	10.36	11.31
Average shares (diluted)	4,652	4,652	4,629	4,629	0.0	4,629	0.0	4,629	4,629	4,629
Balance Sheet (Rmbm)										
Cash and equivalents	7,812	9,108	6,540	9,098	39.1	8,770	-3.6	10,791	14,553	19,088
Other current assets	13,700	11,824	11,325	12,917	14.1	13,323	3.1	13,901	13,859	13,808
Total current assets	21,512	20,931	17,865	22,015	23.2	22,093	0.4	24,691	28,412	32,896
Net tangible fixed assets	30,811	30,213	30,551	31,603	3.4	31,652	0.2	30,757	29,913	29,118
Net intangible fixed assets	1,482	3,848	3,852	3,814	-1.0	3,777	-1.0	3,740	3,703	3,667
Investments / other assets	3,292	1,788	1,882	1,882	0.0	1,882	0.0	1,882	1,882	1,882
Total assets	57,097	56,780	54,150	59,315	9.5	59,404	0.2	61,070	63,910	67,563
Trade payables & other ST liabilities	11,590	14,264	11,274	13,324	18.2	13,662	2.5	14,132	14,089	14,039
Short term debt	13,031	7,017	6,628	5,257	-20.7	3,036	-42.2	1,453	695	332
Total current liabilities	24,621	21,280	17,902	18,581	3.8	16,699	-10.1	15,584	14,784	14,371
Long term debt	7,021	7,674	6,080	4,823	-20.7	2,786	-42.2	1,334	639	307
Other long term liabilities	1,346	992	604	604	0.0	604	0.0	604	604	604
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	32,988	29,946	24,586	24,008	-2.4	20,090	-16.3	17,523	16,027	15,282
Common s/h equity	24,107	26,831	29,567	35,322	19.5	39,342	11.4	43,586	47,934	52,344
Minority interests	2	3	(4)	(16)	-275.5	(27)	-74.1	(39)	(51)	(63)
Total liabilities & equity	57,097	56,780	54,150	59,315	9.5	59,404	0.2	61,070	63,910	67,563
Cash Flow (Rmbm)										
Net income (before pref divs)	2,205	4,455	4,818	8,279	71.8	8,358	1.0	8,623	8,866	9,056
Depreciation & amortisation	1,647	1,708	1,812	1,986	9.6	1,988	0.1	1,933	1,880	1,831
Net change in working capital	(2,100)	(79)	(1,654)	458	-	(68)	-	(108)	(2)	1
Other operating	2,165	(864)	3,077	466	-84.9	331	-28.9	163	23	(69)
Operating cash flow	3,916	5,220	8,053	11,188	38.9	10,610	-5.2	10,611	10,769	10,819
Tangible capital expenditure	(2,357)	(1,278)	(1,534)	(3,000)	-95.6	(2,000)	33.3	(1,000)	(1,000)	(1,000)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	4	1	0	-	0	-	0	0	0
Other investing	(1,381)	(843)	(54)	0	-	0	-	0	0	0
Investing cash flow	(3,738)	(2,116)	(1,586)	(3,000)	-89.1	(2,000)	33.3	(1,000)	(1,000)	(1,000)
Equity dividends paid	(1,772)	(2,340)	(2,356)	(2,524)	-7.1	(4,338)	-71.8	(4,379)	(4,518)	(4,646)
Share issues / (buybacks)	0	0	(23)	0	-	0	-	0	0	0
Other financing	(4,341)	4,125	(2,087)	(477)	77.1	(343)	28.2	(175)	(36)	(5,284)
Change in debt & pref shares	6,214	(5,362)	(1,982)	(2,628)	-32.6	(4,257)	-62.0	(3,036)	(1,453)	(695)
Financing cash flow	100	(3,576)	(6,449)	(5,630)	12.7	(8,938)	-58.8	(7,590)	(6,007)	(10,625)
Cash flow inc/(dec) in cash	279	(472)	17	2,558	NM	(328)	-	2,021	3,762	(806)
FX / non cash items	(1,291)	1,768	(2,585)	0	-	0	-	0	0	5,341
Balance sheet inc/(dec) in cash	(1,012)	1,296	(2,568)	2,558	-	(328)	-	2,021	3,762	4,535

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	14.7	7.6	9.6	6.4	6.3	6.1	5.9	5.8
P/E (UBS, diluted)	14.7	7.6	9.6	6.4	6.3	6.1	5.9	5.8
P/CEPS	8.4	5.5	7.0	5.1	5.1	5.0	4.9	4.8
Equity FCF (UBS) yield %	4.8	11.7	14.1	15.6	16.4	18.3	18.6	18.7
Dividend yield (net) %	2.2	5.5	5.5	8.2	8.3	8.6	8.8	9.0
P/BV	1.3	1.3	1.6	1.5	1.3	1.2	1.1	1.0
EV/revenues (core)	1.6	1.8	2.0	1.6	1.5	1.3	1.2	1.0
EV/EBITDA (UBS core)	10.2	6.9	7.6	4.8	4.4	4.1	3.6	3.2
EV/EBIT (core)	15.7	9.1	9.9	5.7	5.3	4.8	4.2	3.7
EV/OpFCF (core)	10.4	7.0	7.7	4.8	4.5	4.1	3.7	3.2
EV/op. invested capital	1.2	1.2	1.4	1.5	1.4	1.3	1.2	1.1
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	32,418	33,714	46,397	52,629	52,629	52,629	52,629	52,629
Net debt (cash)	15,200	15,727	12,285	8,693	4,136	(357)	(5,494)	(10,716)
Buy out of minorities	2	3	4	16	27	39	51	63
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	47,620	49,444	58,686	61,338	56,791	52,310	47,186	41,977
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	47,620	49,444	58,686	61,338	56,791	52,310	47,186	41,977
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(12.2)	(3.1)	5.0	28.6	2.6	4.1	0.1	0.0
EBITDA (UBS)	(14.9)	52.6	8.2	65.4	(0.3)	0.8	0.9	0.7
EBIT (UBS)	(24.2)	79.1	8.9	82.5	(0.3)	1.5	1.5	1.3
EPS (UBS, diluted)	(16.8)	102.0	8.7	71.8	1.0	3.2	2.8	2.1
Net DPS	(25.0)	166.7	37.5	70.4	1.0	3.2	2.8	2.1
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	12.5	21.6	22.5	31.0	30.1	29.5	29.8	30.2
EBITDA margin	16.2	25.5	26.2	33.7	32.8	31.8	32.0	32.3
EBIT (UBS) margin	10.5	19.4	20.1	28.5	27.7	27.0	27.4	27.7
Net earnings (UBS) margin	7.6	15.9	16.3	21.8	21.5	21.3	21.9	22.3
ROIC (EBIT)	7.9	13.2	14.6	26.3	26.0	26.6	27.6	28.6
ROIC post tax	6.5	11.3	12.6	21.0	20.8	21.3	22.1	22.9
ROE (UBS)	9.4	17.5	17.1	25.5	22.4	20.8	19.4	18.1
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	3.9	1.9	1.5	0.5	0.2	(0.2)	(0.6)	(1.0)
Net debt / total equity %	75.4	49.5	38.2	17.3	5.5	(6.6)	(16.9)	(25.5)
Net debt / (net debt + total equity) %	43.0	33.1	27.6	14.7	5.2	(7.1)	(20.4)	(34.2)
Net debt/EV %	31.9	31.8	20.9	14.2	7.3	(0.7)	(11.6)	(25.5)
Capex / depreciation %	145.7	76.2	86.5	154.0	102.5	52.8	54.2	55.7
Capex / revenue %	8.1	4.5	5.2	7.9	5.1	2.5	2.5	2.5
EBIT / net interest	3.9	7.7	12.6	22.7	31.5	62.6	NM	-
Dividend cover (UBS)	3.2	2.4	1.9	1.9	1.9	1.9	1.9	1.9
Div. payout ratio (UBS) %	31.6	41.8	52.8	52.4	52.4	52.4	52.4	52.4
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	28,975	28,089	29,502	37,928	38,913	40,503	40,544	40,544
Total	28,975	28,089	29,502	37,928	38,913	40,503	40,544	40,544
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	3,038	5,442	5,925	10,811	10,776	10,939	11,104	11,248
Total	3,038	5,442	5,925	10,811	10,776	10,939	11,104	11,248

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Will China's aluminium industry enter oversupply in 2026-27E?**

No. While record margins are encouraging producers to optimise output via potline upgrades, delayed maintenance and temporary parallel operations, we expect production growth to remain modest and reach 45.6mt in 2026E and 46.0mt in 2027E versus 44.5mt in 2025. Importantly, we do not expect China to relax its 45.43mt capacity cap established in the 2017 supply-side reforms. Although capacity swaps, legacy capacity and operating efficiency improvements could temporarily lift effective output, nationwide utilisation has remained tightly anchored at c100% in recent years despite elevated profitability. In our view, operational constraints and policy discipline should continue to contain supply growth, leaving the market broadly balanced rather than structurally oversupplied.

Q: Will the global aluminium market enter oversupply in 2026-27E?

No, but 2027E should be less balanced than in 2026E. With China nearing the capacity ceiling, Indonesia remains the key source of incremental supply; however, power constraints and policy uncertainty should limit the pace of capacity additions. We forecast Indonesian output growth of 1.0mt in 2026 and 1.7mt in 2027, supported by power reallocation from nickel producers and ongoing smelter construction. At the same time, a significant portion of Middle East smelter capacity remains offline, and any restart is likely to be gradual given the need to rebuild facilities and alumina inventories, and ramp up operations. We forecast global primary aluminium supply to decline by over 0.6mt in 2026, followed by over 3mt of supply growth in 2027E, implying a less balanced market in 2027E but not one that is materially oversupplied.

UBSVIEW

Company. We believe Hongqiao will re-rate further driven by: 1) its consistent delivery of solid results; 2) disciplined 10-year track record of raising the dividend payout, which currently stands at a generous 63%+; and 3) our expectation of deleveraging starting in 2026E as capex peaks and as the core business outlook looks positive. **Industry.** UBS remains constructive on the global aluminium market outlook, driven by balanced supply-demand and sustained industry profitability. We reiterate our Buy rating on Hongqiao.

EVIDENCE

Company. Hongqiao continues to deliver strong earnings and shareholder returns, supported by a decade-long record of dividend increases and ongoing buybacks. **Industry.** China's aluminium inventory continued to decline in May-June 2026, with robust exports offsetting weaker domestic demand. Middle East disruption has removed c3mt of operating capacity from the market. While Indonesia's aluminium expansion is accelerating in 2026E, supported by power reallocation from nickel producers, power constraints and policy uncertainty should limit supply growth beyond 2026E.

WHAT'S PRICED IN?

Hongqiao trades at an 11.5% 2027E dividend yield, which we view as undemanding compared with its A-share aluminium peer average of 6.7% and H-share peer Chalco's 7.4%. We believe the valuation is attractive at a target dividend yield of 6.5% with a strong dividend payout.

UPSIDE/DOWNSIDE SPECTRUM**Value drivers (2027E)**

HK\$43.58 upside
HK\$36.80 base
HK\$17.28 downside

China aluminium price (Rmb/t, incl VAT)	China alumina price (Rmb/t, incl VAT)
24,000	3,000
22,500	2,900
19,000	2,800

Source: UBS estimates

COMPANY DESCRIPTION

China Hongqiao is a primary aluminium and alumina producer based in Shandong, China. The company has 6.46m tonnes of aluminium capacity and 19.5m tonnes of alumina capacity as of 2024. The company's major businesses include production and sales of molten aluminium alloy, aluminium alloy ingots, aluminium fabrication and alumina.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Will China's aluminium industry enter oversupply in 2026-27E?**

No. While record margins are encouraging producers to optimise output via potline upgrades, delayed maintenance and temporary parallel operations, we expect production growth to remain modest and reach 45.6mt in 2026E and 46.0mt in 2027E versus 44.5mt in 2025. Importantly, we do not expect China to relax its 45.43mt capacity cap established in the 2017 supply-side reforms. Although capacity swaps, legacy capacity and operating efficiency improvements could temporarily lift effective output, nationwide utilisation has remained tightly anchored at c100% in recent years despite elevated profitability. In our view, operational constraints and policy discipline should continue to contain supply growth, leaving the market broadly balanced rather than structurally oversupplied.

Q: Will the global aluminium market enter oversupply in 2026-27E?

No, but 2027E should be less balanced than in 2026E. With China nearing the capacity ceiling, Indonesia remains the key source of incremental supply; however, power constraints and policy uncertainty should limit the pace of capacity additions. We forecast Indonesian output growth of 1.0mt in 2026 and 1.7mt in 2027, supported by power reallocation from nickel producers and ongoing smelter construction. At the same time, a significant portion of Middle East smelter capacity remains offline, and any restart is likely to be gradual given the need to rebuild facilities and alumina inventories, and ramp up operations. We forecast global primary aluminium supply to decline by over 0.6mt in 2026, followed by over 3mt of supply growth in 2027E, implying a less balanced market in 2027E but not one that is materially oversupplied.

UBSVIEW

Company. We expect upside in share price for Chalco due to: 1) a stable management team after two changes in the past three years; 2) earnings delivery has stabilised in recent quarters; and 3) a potential further rise in the payout ratio. **Industry.** UBS remains constructive on the global aluminium market outlook, driven by balanced supply-demand and sustained industry profitability. We reiterate our Buy rating on Chalco-A.

EVIDENCE

Company. Strong Q126 net profit growth of 56% YoY and a 4% rise in Q1 aluminium sales YoY. The dividend payout increased steadily from 20% to over 35% in the past three years. **Industry.** China's aluminium inventory continued to decline in May-June 2026, with robust exports offsetting weaker domestic demand. Middle East disruption has removed c3mt of operating capacity from the market. While Indonesia's aluminium expansion is accelerating in 2026, supported by power reallocation from nickel producers, power constraints and policy uncertainty should limit supply growth beyond 2026E.

WHAT'S PRICED IN?

Chalco-A/H trade at a 6.8x/5.4x 2027E PE, which we view as undemanding compared with the A-share aluminium peer average of 6.0x and H-share peer Hongqiao's 5.7x. We believe valuation is attractive at a target PE of 11x/10x for Chalco-A/H.

UPSIDE/DOWNSIDE SPECTRUM**Value drivers (2027E)**

	China aluminium price (Rmb/t, incl VAT)	China alumina price (Rmb/t, incl VAT)
Rmb16.32 upside	24,000	3,000
Rmb13.50 base	22,500	2,900
Rmb 6.24 downside	19,000	2,800

Source: UBS estimates

COMPANY DESCRIPTION

Aluminium Corporation of China (Chalco) is the largest aluminium producer in China. It is a state-owned enterprise mainly engaged in bauxite mining, alumina refining, aluminium smelting, aluminium alloy products, coal mining, power generation and trading.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Will China's aluminium industry enter oversupply in 2026-27E?**

No. While record margins are encouraging producers to optimise output via potline upgrades, delayed maintenance and temporary parallel operations, we expect production growth to remain modest and reach 45.6mt in 2026E and 46.0mt in 2027E versus 44.5mt in 2025. Importantly, we do not expect China to relax its 45.43mt capacity cap established in the 2017 supply-side reforms. Although capacity swaps, legacy capacity and operating efficiency improvements could temporarily lift effective output, nationwide utilisation has remained tightly anchored at c100% in recent years despite elevated profitability. In our view, operational constraints and policy discipline should continue to contain supply growth, leaving the market broadly balanced rather than structurally oversupplied.

Q: Will the global aluminium market enter oversupply in 2026-27E?

No, but 2027E should be less balanced than in 2026E. With China nearing the capacity ceiling, Indonesia remains the key source of incremental supply; however, power constraints and policy uncertainty should limit the pace of capacity additions. We forecast Indonesian output growth of 1.0mt in 2026 and 1.7mt in 2027, supported by power reallocation from nickel producers and ongoing smelter construction. At the same time, a significant portion of Middle East smelter capacity remains offline, and any restart is likely to be gradual given the need to rebuild facilities and alumina inventories, and ramp up operations. We forecast global primary aluminium supply to decline by over 0.6mt in 2026, followed by over 3mt of supply growth in 2027E, implying a less balanced market in 2027E but not one that is materially oversupplied.

UBSVIEW

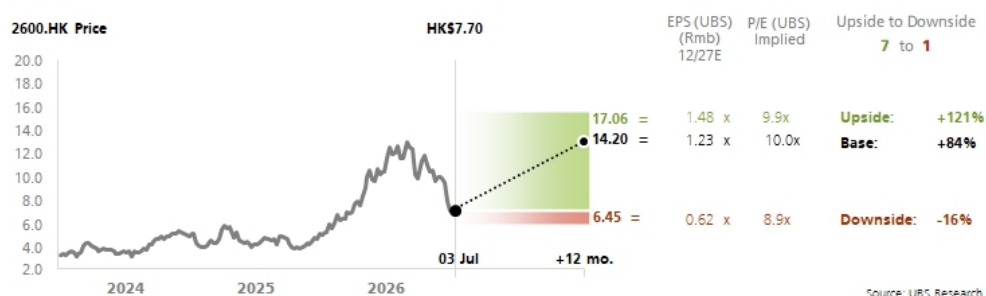
Company. We expect upside in share price for Chalco due to: 1) a stable management team after two changes in the past three years; 2) earnings delivery has stabilised in recent quarters; and 3) a potential further rise in the payout ratio. **Industry.** UBS remains constructive on the global aluminium market outlook, driven by balanced supply-demand and sustained industry profitability. We reiterate our Buy rating on Chalco-H.

EVIDENCE

Company. Strong Q126 net profit growth of 56% YoY and a 4% rise in Q1 aluminium sales YoY. The dividend payout steadily increased from 20% to over 35% in the past three years. **Industry.** China's aluminium inventory continued to decline in May-June 2026, with robust exports offsetting weaker domestic demand. Middle East disruption has removed c3mt of operating capacity from the market. While Indonesia's aluminium expansion is accelerating in 2026E, supported by power reallocation from nickel producers, power constraints and policy uncertainty should limit supply growth beyond 2026E.

WHAT'S PRICED IN?

Chalco-A/H trade at a 6.8x/5.4x 2027E PE, which we view as undemanding compared with the A-share aluminium peer average of 6.0x and H-share peer Hongqiao's 5.7x. We believe valuation is attractive at a target PE of 11x/10x for Chalco-A/H.

UPSIDE/DOWNSIDE SPECTRUM**Value drivers (2027E)**

China aluminium price (Rmb/t, incl VAT) China alumina price (Rmb/t, incl VAT)

HK\$17.06 upside	24,000	3,000
HK\$14.20 base	22,500	2,900
HK\$6.45 downside	19,000	2,800

Source: UBS estimates

COMPANY DESCRIPTION

Aluminium Corporation of China (Chalco) is the largest aluminium producer in China. It is a state-owned enterprise mainly engaged in bauxite mining, alumina refining, aluminium smelting, aluminium alloy products, coal mining, power generation and trading.

UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS
Q: Will China's aluminium industry enter oversupply in 2026-27E?

No. While record margins are encouraging producers to optimise output via potline upgrades, delayed maintenance and temporary parallel operations, we expect production growth to remain modest and reach 45.6mt in 2026E and 46.0mt in 2027E versus 44.5mt in 2025. Importantly, we do not expect China to relax its 45.43mt capacity cap established in the 2017 supply-side reforms. Although capacity swaps, legacy capacity and operating efficiency improvements could temporarily lift effective output, nationwide utilisation has remained tightly anchored at c100% in recent years despite elevated profitability. In our view, operational constraints and policy discipline should continue to contain supply growth, leaving the market broadly balanced rather than structurally oversupplied.

Q: Will the global aluminium market enter oversupply in 2026-27E?

No, but 2027E should be less balanced than in 2026E. With China nearing the capacity ceiling, Indonesia remains the key source of incremental supply; however, power constraints and policy uncertainty should limit the pace of capacity additions. We forecast Indonesian output growth of 1.0mt in 2026 and 1.7mt in 2027, supported by power reallocation from nickel producers and ongoing smelter construction. At the same time, a significant portion of Middle East smelter capacity remains offline, and any restart is likely to be gradual given the need to rebuild facilities and alumina inventories, and ramp up operations. We forecast global primary aluminium supply to decline by over 0.6mt in 2026, followed by over 3mt of supply growth in 2027E, implying a less balanced market in 2027E but not one that is materially oversupplied.

UBSVIEW

Company. We believe Tianshan will re-rate further driven by either: 1) alpha from its planned Indonesian alumina expansion; or 2) an increase in the dividend payout ratio from 50% to 55% if the overseas direct investment (ODI) is not approved; and 3) aluminium capacity ramp-up. **Industry.** UBS remains constructive on the global aluminium market outlook, driven by balanced supply-demand and sustained industry profitability. We reiterate our Buy rating on Tianshan.

EVIDENCE

Company. Tianshan's aluminium ramp lifted Q126 earnings above Rmb2bn; we expect 2026E earnings to nearly double if aluminium prices remain above Rmb23,000/t. **Industry.** China's aluminium inventory continued to decline in May-June 2026, with robust exports offsetting weaker domestic demand. Middle East disruption has removed c3mt of operating capacity from the market. While Indonesia's aluminium expansion is accelerating in 2026E, supported by power reallocation from nickel producers, power constraints and policy uncertainty should limit supply growth beyond 2026E.

WHAT'S PRICED IN?

Tianshan trades at a 6.3x 2027E PE, which we view as undemanding compared with the A-share aluminium peer average of 6.0x and H-share peers' 5.5x. We believe valuation is attractive at a target PE of 10x for Tianshan.

UPSIDE/DOWNSIDE SPECTRUM

Value drivers (2027E)

China aluminium price (Rmb/t, incl VAT) China alumina price (Rmb/t, incl VAT)

Rmb21.04 upside	24,000	3,000
Rmb18.10 base	22,500	2,900
Rmb9.88 downside	19,000	2,800

Source: UBS estimates

COMPANY DESCRIPTION

Tianshan Aluminum reverse merged listco Shimge Pump Industry Group in 2020. Tianshan Aluminum is engaged in the aluminium smelting, high-purity aluminium, alumina and aluminium foil business. It has 1.2mtpa aluminium capacity in Xinjiang, China, according to its 2024 annual report.

Valuation Method and Risk Statement

We use a PE multiple to set our price targets for Chalco-A, Chalco-H, and Tianshan. We use a dividend yield methodology to set our price target for Hongqiao.

Key risks to the companies we cover in the aluminium sector coverage include economic conditions and policies that could result in aluminium price volatility. Supply plays as important a role as demand, together shaping the supply/demand balance and determining aluminium prices. Risks also include: 1) ramp-up progress and government control of new aluminium/alumina capacity; 2) demand growth in property completions; 3) FAI growth in infrastructure activity; 4) government environmental regulations; 5) potential SOE reforms; and 6) prices of raw materials.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Tianshan Aluminum Group

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	2
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Aluminum Corporation of China

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	2
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	

Question	Response
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Aluminum Corporation of China - A

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	2
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

China Hongqiao Group

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	2
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst

Question	Response
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Required Disclosures

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Analyst Certification:

Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that with respect to each security or issuer that the analyst covered in this report: (1) all of the views expressed accurately reflect his or her personal views about those securities or issuers and were prepared in an independent manner, including with respect to UBS, and (2) no part of his or her compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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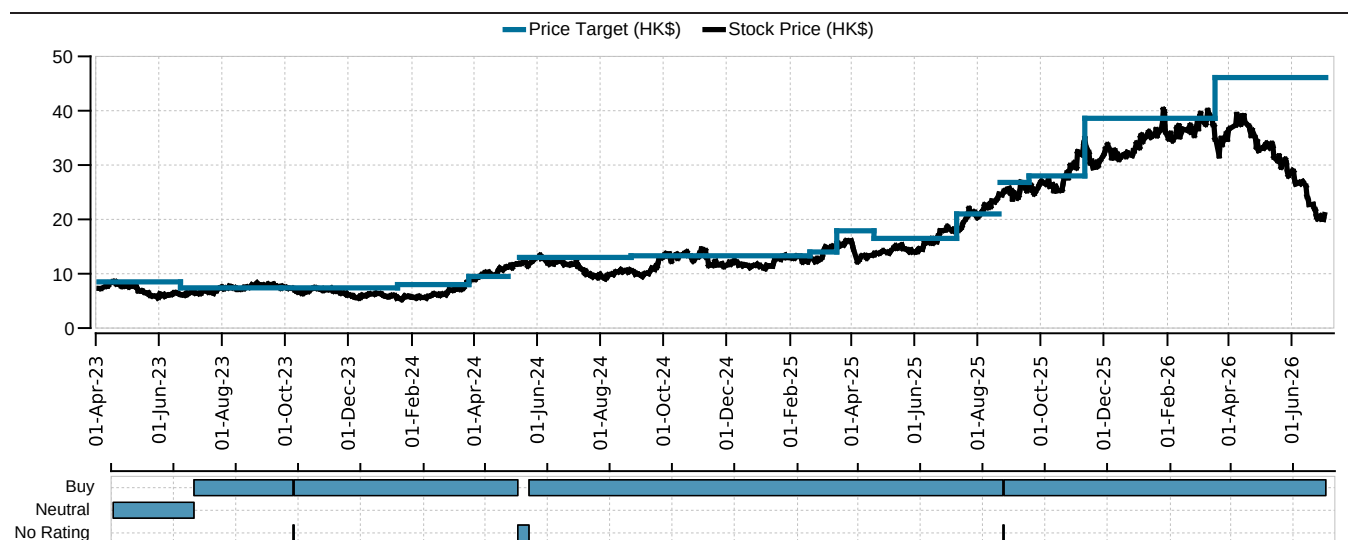
Company Name	Reuters	12-month rating	Price	Price date
Aluminum Corporation of China ^{13,16,18}	2600.HK	Buy	HK\$7.70	03 Jul 2026
Aluminum Corporation of China - A ^{13,16,18}	601600.SS	Buy	Rmb8.33	03 Jul 2026
China Hongqiao Group ^{2,4,5,16,6,28,7}	1378.HK	Buy	HK\$20.88	03 Jul 2026
Tianshan Aluminum Group	002532.SZ	Buy	Rmb11.37	03 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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China Hongqiao Group (HK\$)

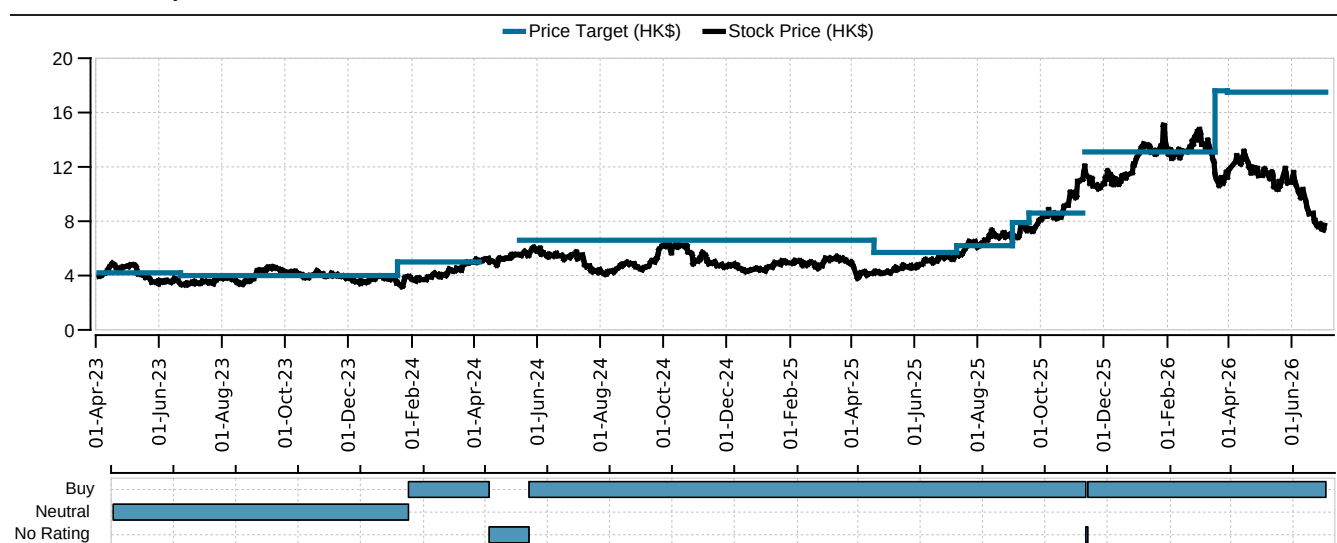


Date	Stock Price (HK\$)	Price Target (HK\$)	Rating
2023-04-03	7.24	8.50	Neutral
2023-06-21	6.25	7.40	Buy
2023-09-26	7.61	-	No Rating
2023-09-27	7.35	7.40	Buy

Date	Stock Price (HK\$)	Price Target (HK\$)	Rating
2024-01-17	5.53	8.00	Buy
2024-03-26	8.38	9.50	Buy
2024-05-03	11.20	-	No Rating
2024-05-14	11.80	13.00	Buy
2024-08-30	10.70	13.30	Buy
2025-02-19	12.72	14.00	Buy
2025-03-17	15.10	17.90	Buy
2025-04-22	13.44	16.50	Buy
2025-07-11	18.22	21.00	Buy
2025-08-21	24.10	-	No Rating
2025-08-22	24.64	26.80	Buy
2025-09-19	26.46	28.00	Buy
2025-11-12	34.04	38.60	Buy
2026-03-18	37.26	46.10	Buy

Source: UBS Global Research; LSEG Eikon as of 03-Jul-2026. All prices as of local market close. Ratings as of date shown.

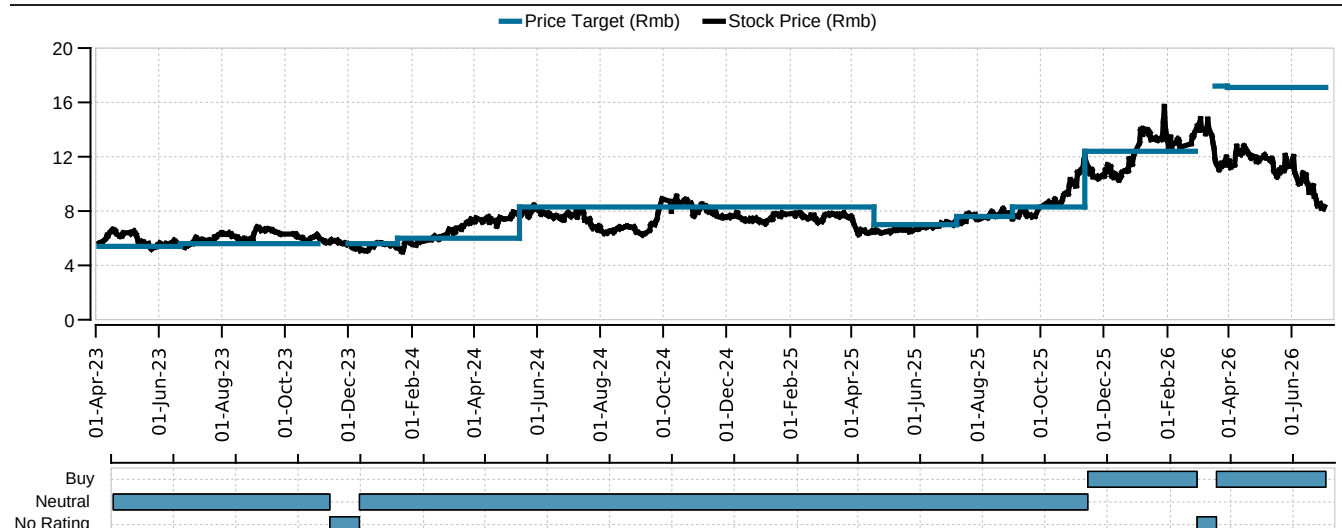
Aluminum Corporation of China (HK\$)



Date	Stock Price (HK\$)	Price Target (HK\$)	Rating
2023-04-03	3.93	4.20	Neutral
2023-06-21	3.48	4.00	Neutral
2024-01-17	3.46	5.00	Buy
2024-04-05	5.00	-	No Rating
2024-05-14	5.55	6.60	Buy
2025-04-22	4.18	5.70	Buy
2025-07-11	5.59	6.20	Buy
2025-09-03	7.06	7.90	Buy
2025-09-19	7.50	8.60	Buy
2025-11-10	11.06	-	No Rating
2025-11-12	11.60	13.10	Buy
2026-03-18	12.36	17.60	Buy
2026-03-30	11.60	17.50	Buy

Source: UBS Global Research; LSEG Eikon as of 03-Jul-2026. All prices as of local market close. Ratings as of date shown.

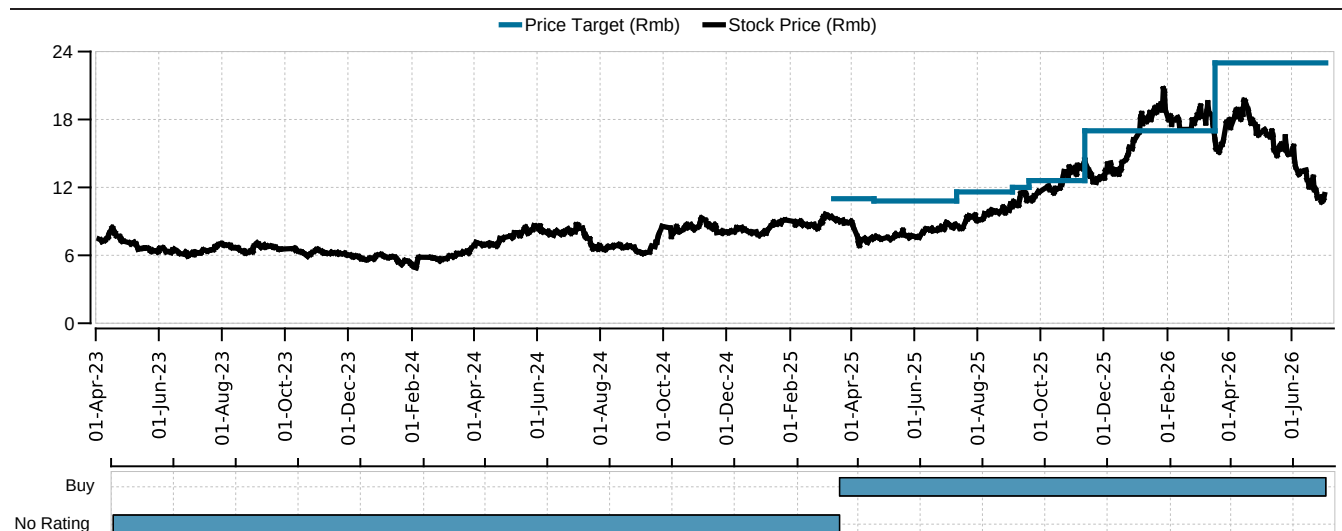
Aluminum Corporation of China - A (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-04-03	5.51	5.40	Neutral
2023-06-21	5.45	5.60	Neutral
2023-11-01	6.27	-	No Rating
2023-11-30	5.54	5.60	Neutral
2024-01-17	5.32	6.00	Neutral
2024-05-14	7.86	8.30	Neutral
2025-04-22	6.48	7.00	Neutral
2025-07-11	7.27	7.60	Neutral
2025-09-03	7.80	8.30	Neutral
2025-11-12	11.71	12.40	Buy
2026-02-27	13.72	-	No Rating
2026-03-18	12.64	17.20	Buy
2026-03-30	11.97	17.10	Buy

Source: UBS Global Research; LSEG Eikon as of 03-Jul-2026. All prices as of local market close. Ratings as of date shown.

Tianshan Aluminum Group (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-04-03	7.56	-	No Rating
2025-03-14	9.33	11.00	Buy
2025-04-22	7.45	10.80	Buy

Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2025-07-11	8.72	11.60	Buy
2025-09-03	10.49	12.00	Buy
2025-09-19	11.02	12.60	Buy
2025-11-12	14.07	17.00	Buy
2026-03-18	16.96	23.00	Buy

Source: UBS Global Research; LSEG Eikon as of 03-Jul-2026. All prices as of local market close. Ratings as of date shown.

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